ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 07 - SHORT TERM TRADING USING MONTHLY & WEEKLY RANGES

Welcome to March 2017 content for the ICT mentorship. This month we're teaching short-term trading. This is lesson one: combining higher time frame monthly and weekly ranges.

Short-term trading is my cup of tea, my go-to discipline trading style. In this month, we're going to be teaching in great detail my one shot one kill approach to trading, not just the Forex market but all the other asset classes will be touched on in scope. As we get to those later discussions, in the middle of the summer (June), we will be teaching bond trading, index trading, stock trading, and commodity trading. I'll touch on this specific trading model in higher detail when I go into those respective discussions.

What is short-term trading? It's the practice of trading a duration of one week or a few days.

We use both the monthly and weekly charts to frame the setups. We trade in the direction of the present or next week's probable range.

It's essential that you understand that the weekly range is going to be the backbone to your success in short-term trading. I'm going to go through a lot of teaching and concepts as it relates to producing consistent results when you're looking for forecasting the next week or current week's range.

CHARACTERISTICS OF A SHORT-TERM MODEL

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A short-term model can be both trend or range-bound trading. Trades that are clear to see forming are the goal.

Specifically with this trading model, try your best to keep from forcing yourself to take a trade if it's not obvious. If it's simply just not clear enough on your charts, just simply sit on your hands and wait. These types of setups form every single week. There's absolutely no reason for you to rush. If you do, believe me, you will have psychological tug of war going on, you're going to have emotional issues, and the bottom line is you're ultimately probably going to lose some money.

Short-term trading, in my opinion, is the highest probability discipline. It offers frequent setups and with consistency, it provides a plethora of trades.

COMPLEMENTARY NATURE WITH JANUARY AND FEBRUARY MENTORSHIP

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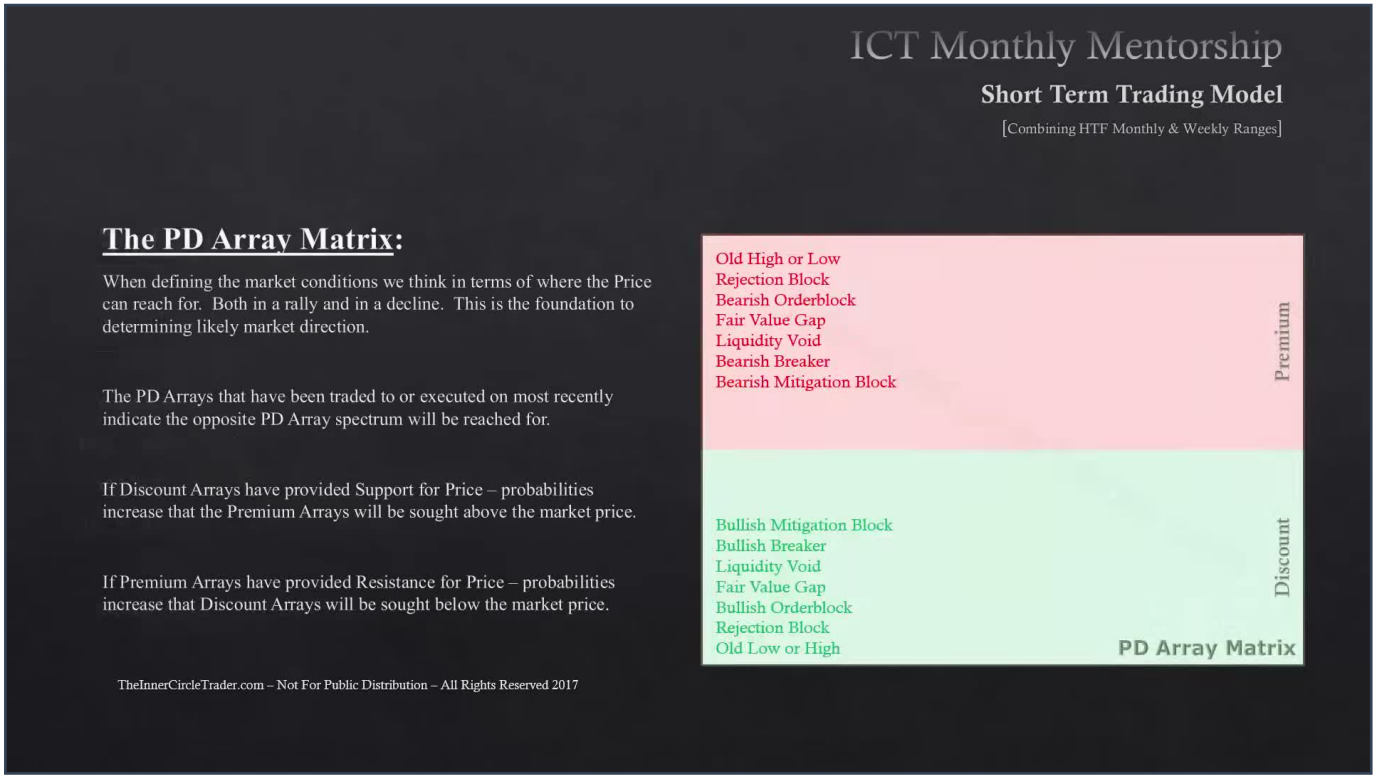
Before we get into this discussion about short-term trading, let me preface it by saying it's important you go through your notes from the January long-term trading model and from February with the swing trading model notes, because those notes will complement this specific whole entire month.

It'd be very easy for me to load you down with rehash of everything that was discussed in January and February, but what I want to do is I want to keep things moving along. Number one, I want the lessons to be fresh, and I also want you to be forced, if you will, to go back to your notes. It's simply me giving you the PDF file is not enough; you need to be referring to them every single month. You get something new, when you finish that new month, go back from the previous months and go through all those lessons again. And yes, it takes a lot of time. That's why we're doing a 12-month mentorship. It takes a great deal of time to go through this information, to digest it, to retain it, and then to be able to use it. It's simply not enough to give me this and then I'll know what to do. It doesn't work like that. Obviously, some of you already realize that and it's requiring you a great deal more work, but the ones that are doing it, guess what? You already see the fruits of that.

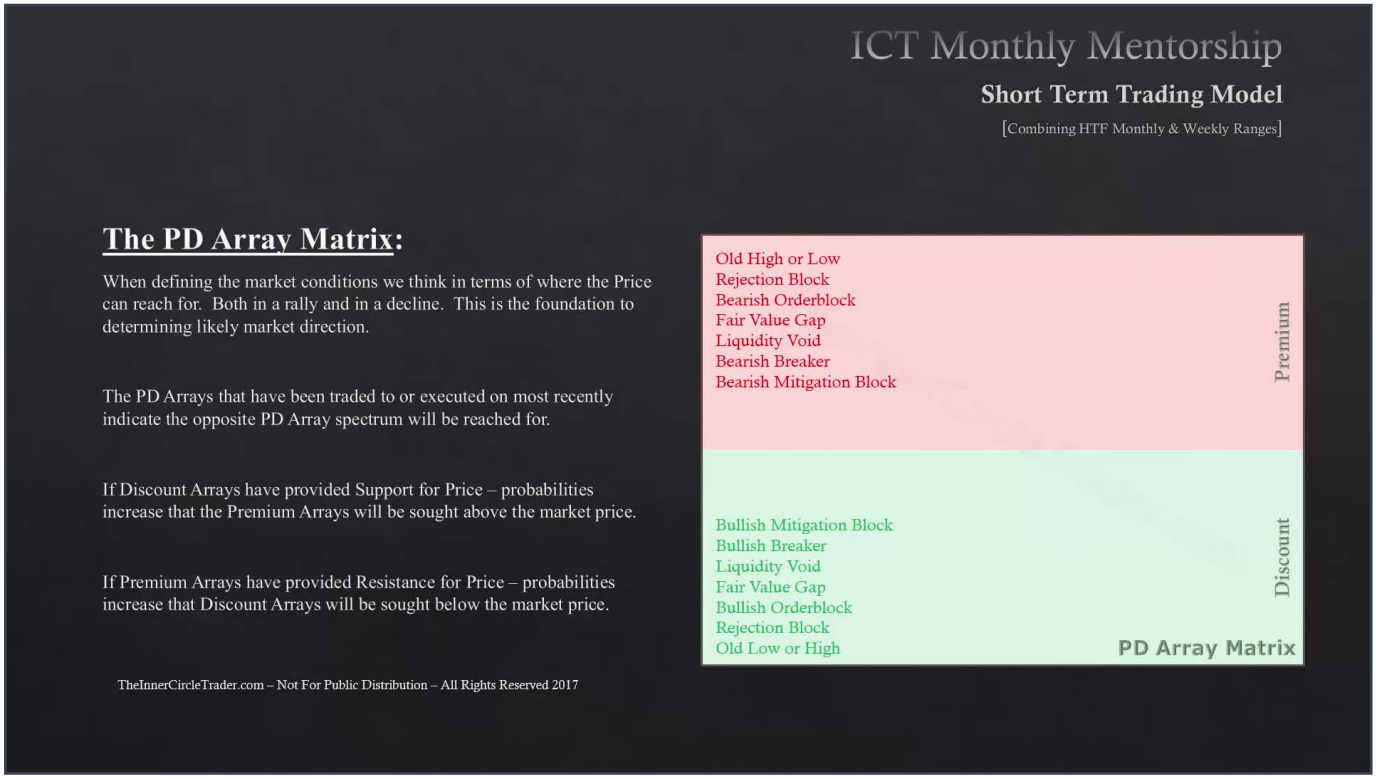
While many of the folks on the internet think they understand how I do one shot one kill, believe me, there's a whole lot of things that I did not reveal in the first four lessons. This month will look somewhat like you have already seen it, but there's subtle nuances, especially with one specific component that I'm going to release at the very last slide in this presentation. I want you to be really focused on because it really is, in my opinion, one of the telltale signs that you got a tiger by the tail. In other words, you have a big move still, and I'll get to that when we get to the last slide in this presentation.

I want you to know that when we go through short-term trading, this is my favorite form of trading. If I can't find a setup for one shot one kill, the next thing I'm doing is day trading, and guess what? We teach that next month. But this month and next, this is where I excel as a trader because of my personal unique makeup as a trader and as a person. My psychology about things in nature is very short term. I can change my mind very quick. I can make a decision rather quickly, so that means that I can do very well in this specific discipline of trading and with intraday day trading.

While this may not be your particular style of trading, trust me, I'm going to teach you things in this month and next month that will help you really, really excel as a long-term trader or a swing trader. Everything blends together; that's why we have to do these things from a higher time frame down, and we go back to the higher time frame and fill in gaps that were left there intentionally. Some of you have scratched your head saying, 'Well, wait a minute, I feel like there's some things missing from the swing trading model.' The things that are missing will be helped by filling in with the short term because everything is modular, everything is complementary as we go through deeper study on this mentorship. So as we get down to the smaller time frames, everything fills in, and then you'll go back in the higher time frames and say, 'Okay, now I know what I'm doing, I know what I'm looking for, and everything fits together like a dovetail perfectly.'



As a reminder, every discipline we will always be referring to the PD array Matrix. I want to not just go over everything that you've seen here so far, and I'm not trying to belabor it, but it's important we understand that as a short-term trader, especially for one shot one kill, which is like the flagship of this month's content. That's what I'm—that's my hallmark as a trader. I mean, that's what makes ICT, who he is: I can trade the weekly range and get pretty close to what the high and low is for the week. You've already seen many examples of me calling the intraday highs and lows before the fact within one or two pips, and sometimes right on the pip.



Those same components are applicable to the weekly range, which if you really stop and think about that, think about the Sunday open to Friday's close—how many pips is offered over that time period? A lot, tons. So if you can really focus in on what we're teaching this month, even if it's not going to be your discipline of choice or style of trading, it will give you a greater insight on how you can reduce your risk trading as a swing trader and or a long-term trader. As it relates to PD array Matrix, this is again the backbone to what we look for and how we frame our trades. It ends up in every one of our teachings as we go forward in each new discipline. This slide will always be there because I want to ingrain it in your brain, because this is what I do from an institutional mindset. I look for how the institutions will move from a premium to a discount array or from a discount array to a premium array. You have to understand that.

EXAMPLE - BEARISH SCENARIO WITH FAIR VALUE GAP AND BULLISH ORDER BLOCK

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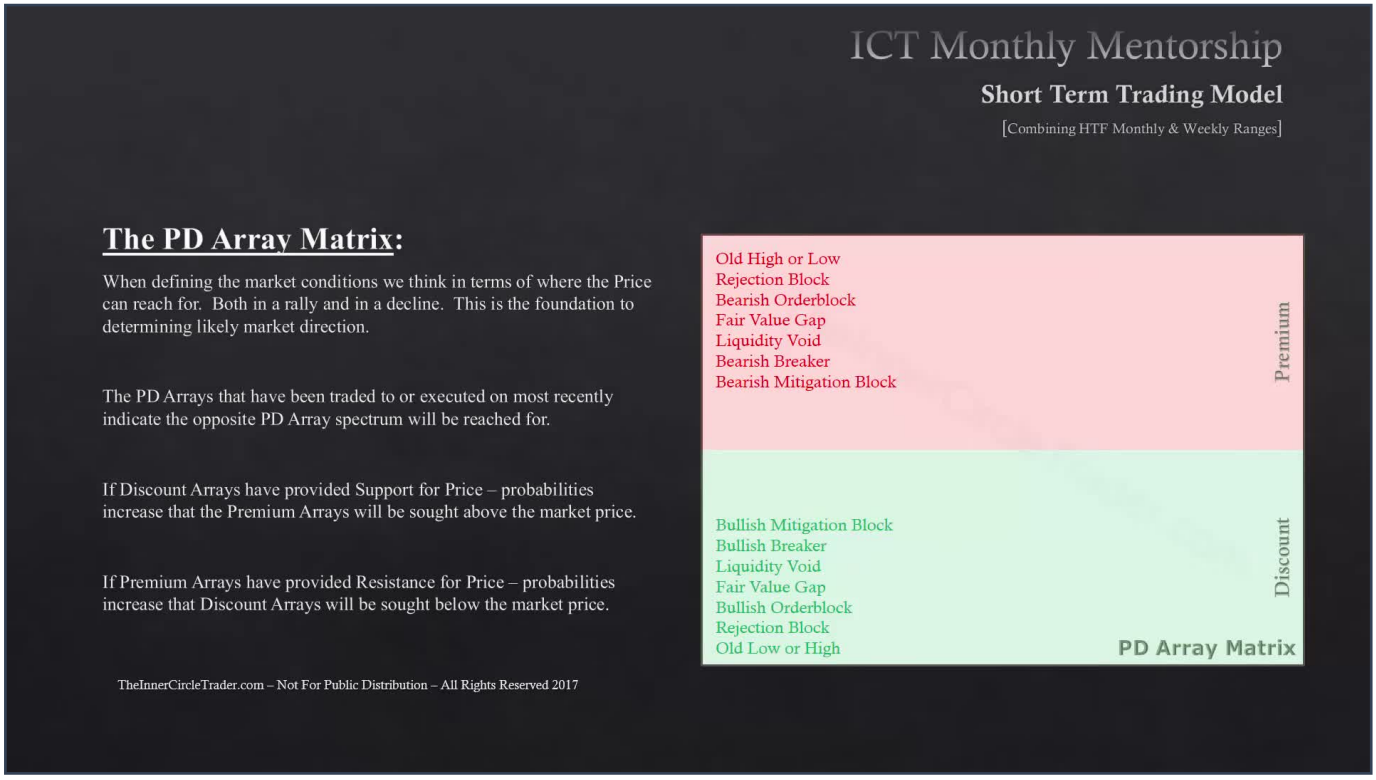
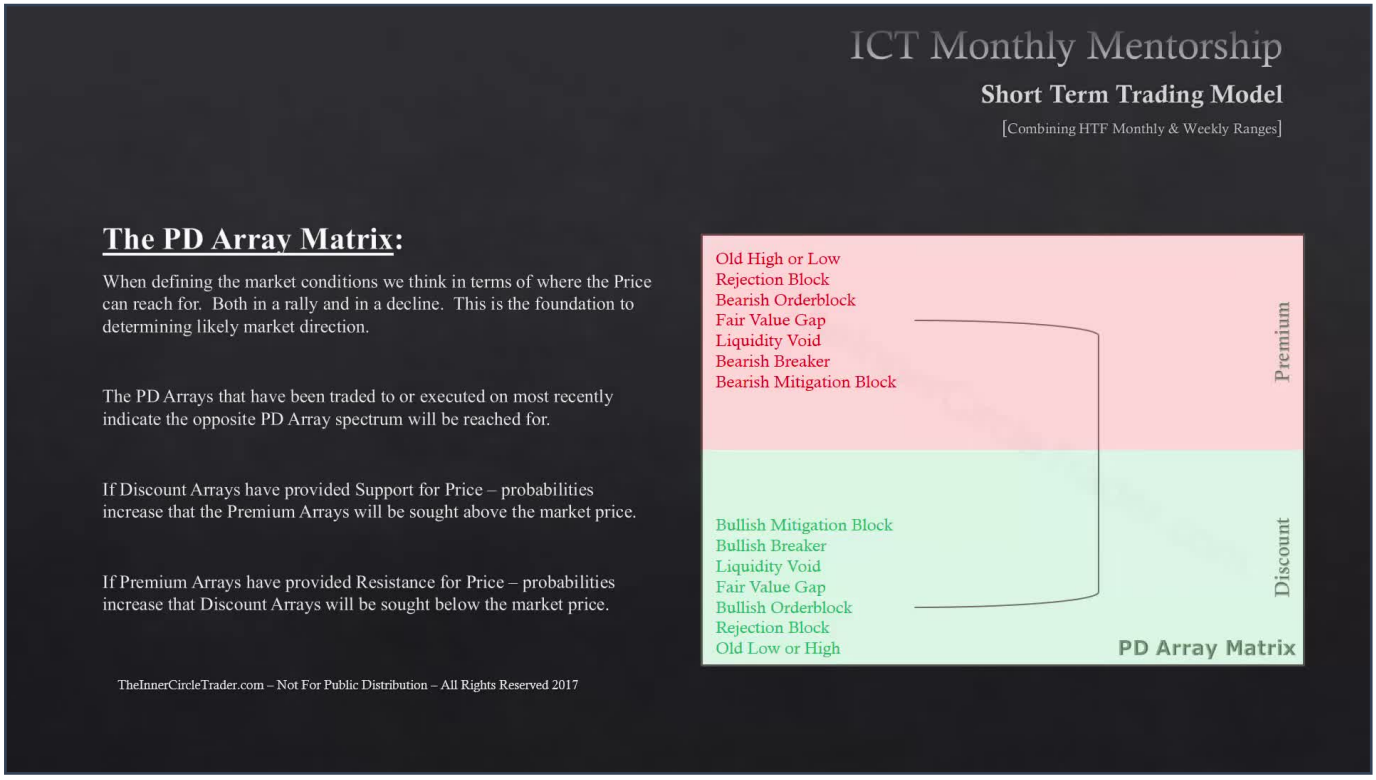
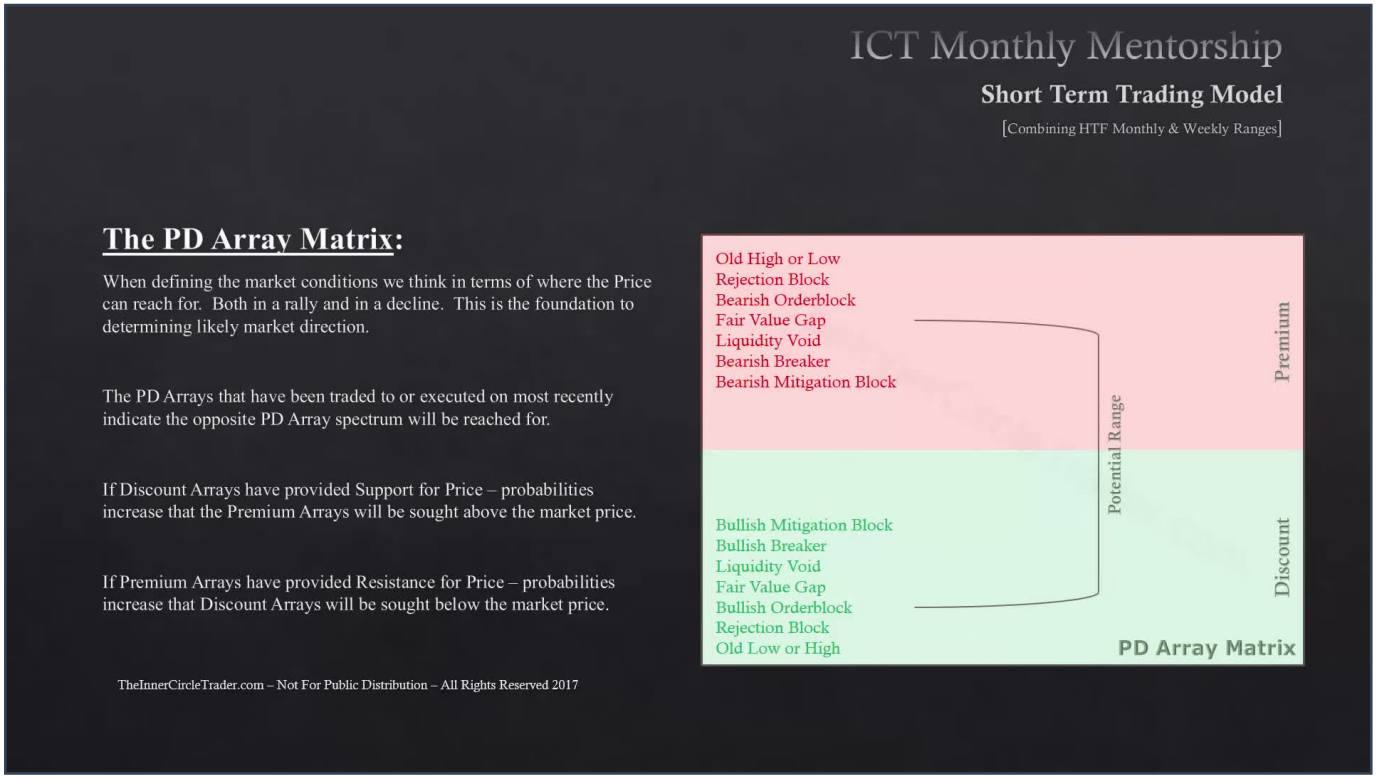


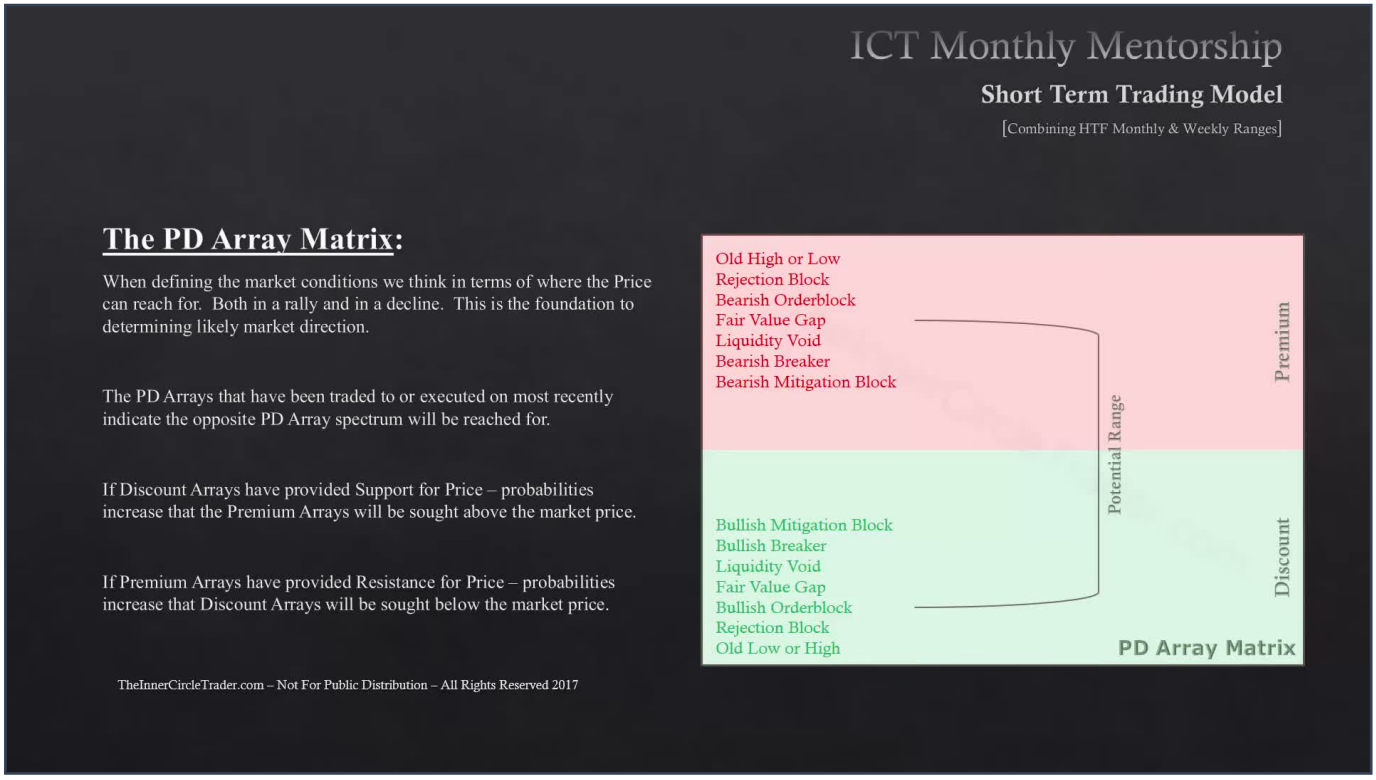
Just an example, let's just take a look at one real quick. Let's say we looked at the market and it just recently filled in a fair value Gap, and we think the market's bearish. Well, we go through this process of looking for potential future discount PD arrays. We look and we can't see anything in terms of the bullish mitigation block, we don't see any bullish Breakers, there's no liquidity void, but there is no fair value gap either. All of a sudden it reduces us down to a bullish order block. So if we're looking at a monthly higher time frame premium array, we're looking for an opposing weekly discount array. So in this case, we'd be looking for the movement from a fair value Gap that has filled in at a premium level, we're dropping down and looking for a weekly discount array, and if our analysis leads us to only a bullish order block below us in the weekly format or time frame, that's the range that we're going to be looking for. That's your potential range.



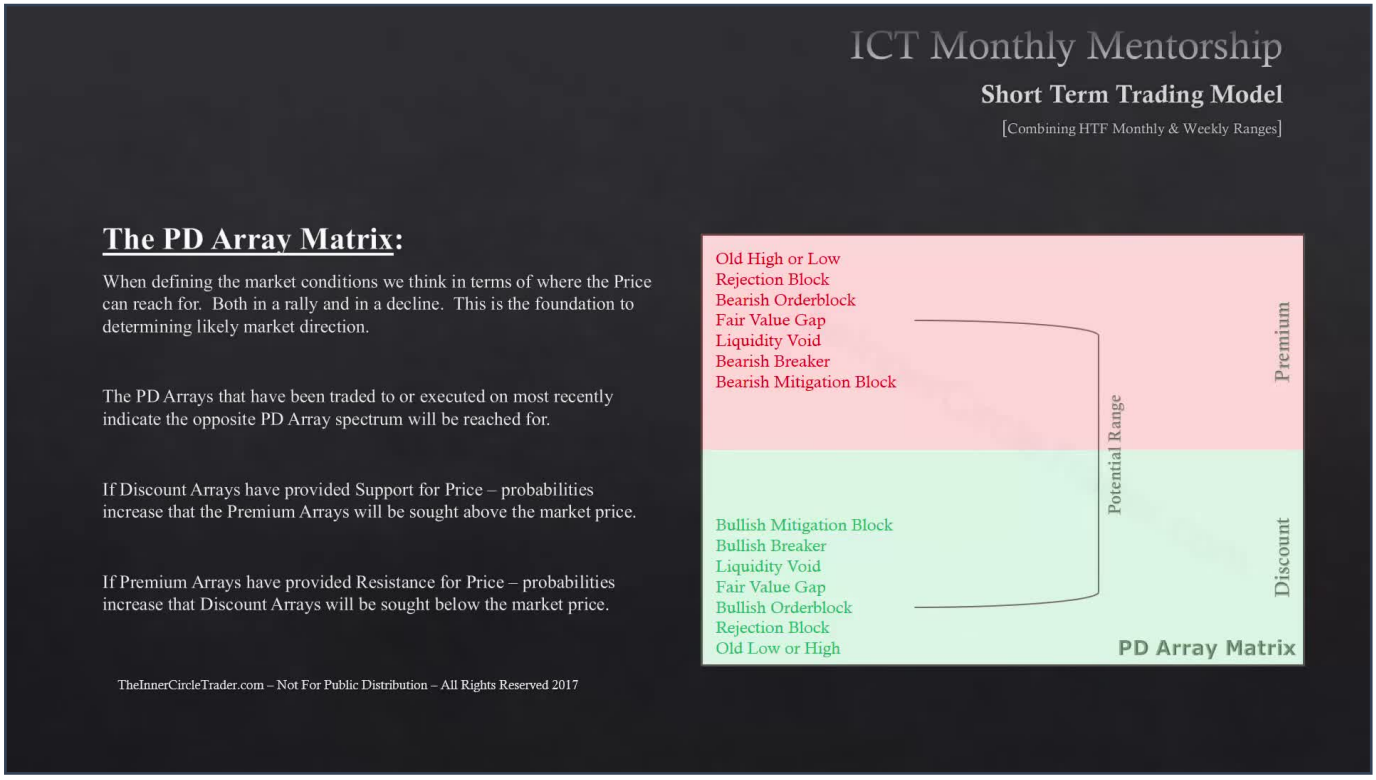
That's how much you can frame your risk to reward model. That's the range you're trading. That's not to be broken up and looked at as, 'Okay, well, if this range is 300 pips, I'm just going to take 20 pips and be done with it.' No, you're going to look to frame your trades as you scale out. You're holding for these longer term objectives throughout the week. You're going to be learning to take some profits along the way, but you're holding out ultimately with that last portion of your trade to get down to that bullish order block. This is just one example. It could be any combination of how a premium moved to a discount array or a discount array moves up to a premium in terms of reaching for how the market may reach in terms of moving higher or lower.



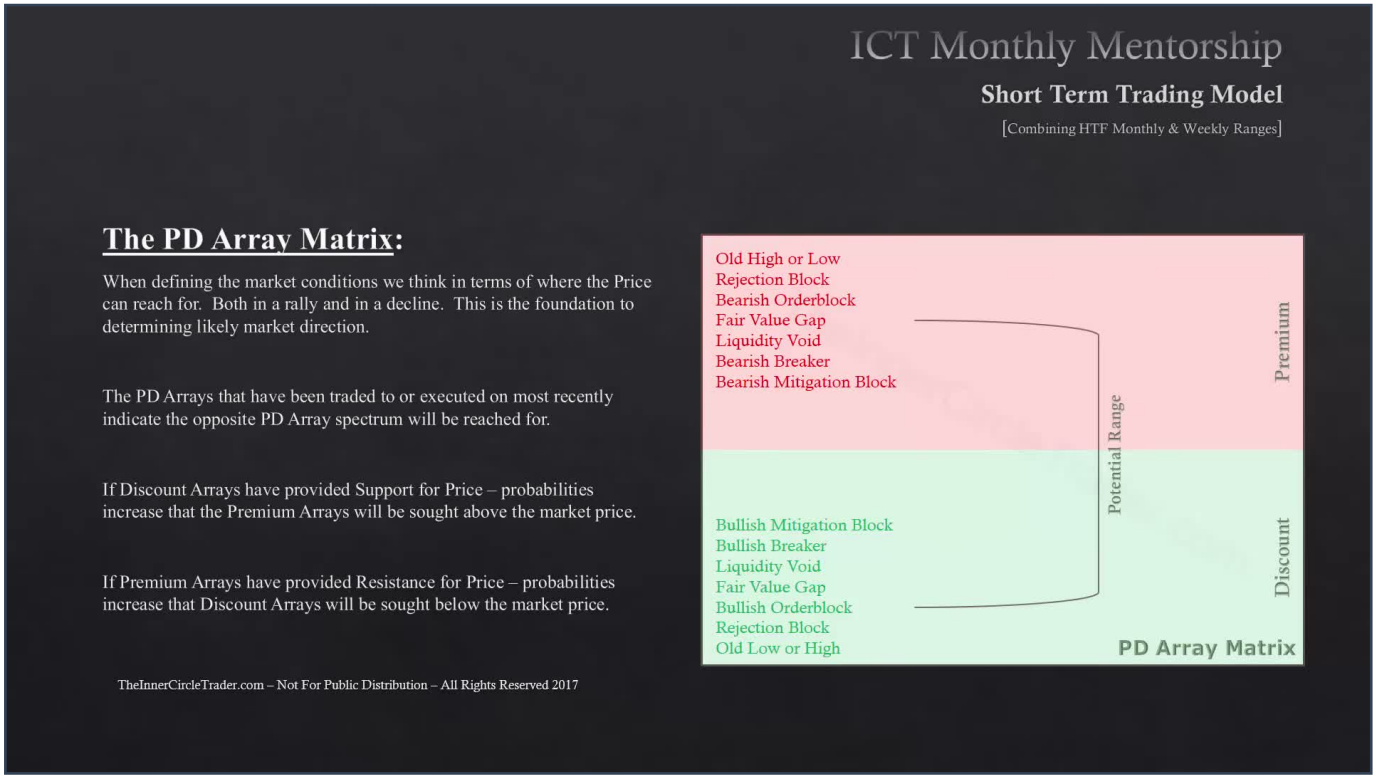
I'll say this in simple terms: all we're doing is looking for a monthly PD array, whether it's discount or premium, based on our next logical price move. Has it gone most likely higher or lower from where we're right now? We move from a monthly PD array. Now, if it's bullish, obviously we're going to be focusing on a monthly discount array. If it's bearish, we're looking for a premium monthly array. From that monthly array, you're going to look for an opposing weekly array. So if we're starting from a premium on a monthly basis, you're going to be looking for a weekly discount. That's your target. You're looking for that range to close in or the market to be drawn to that level.



Now, if you're not really paying attention, if that didn't hit you hard, believe me, when you go through all your charts, go back and look at every major move. That's what's been going on. That's what makes my ability to call the markets from one level to the next and be pretty solid in terms of why I think the market's going to go one direction over the other. When I'm not confident about that, it's because I don't—I don't know which PD array is going to be used next, so I'm waiting for more information, or the PD arrays have been expired, they've already been traded to, so you have to look for something new, and that means you have to wait. But guess what that does? It gives you context and also gives you patience. It gives you the ability to wait. Now you know what you're waiting for because right now I can't do anything.



So when we go through this process of eliminating or what's available in terms of active PD arrays, we start from a monthly. Where what is the monthly PD array that we're most actively traded from? Is it coming off of a bearish order block? Okay, great. So what's the weekly discount array it's going to be reaching for? There may not be a mitigation block, there may not be a bullish breaker, there may not be a void or a gap, there may not even be a bullish order block that you could frame around with confidence. It may be a series of all down candles. So what does that mean? You look for a rejection block or an old low, an old high.



Another example would be if we were looking from a discount monthly array up into a weekly premium array. We could be looking for the market moving from a bullish breaker, for instance, and we could potentially look for the market to possibly run to an old high or an old low. Again, that would be your potential range. This is the maximum you're leaving your portion of your trade on to reach for it. It may not get to these objectives, but if you leave a little piece on, many times you're going to find that if you do this, you can actually make more than the trade if you had on the full position and left it, you know, to your first objective and just simply took it all off there. That small little portion, if you leave it on and you hold it for your maximum potential, that little portion many times will be what you would be making entirely if you just took first profit at a smaller lesser objective.

HIGHER TIME FRAME SEQUENCE - SHORTING OPPORTUNITIES

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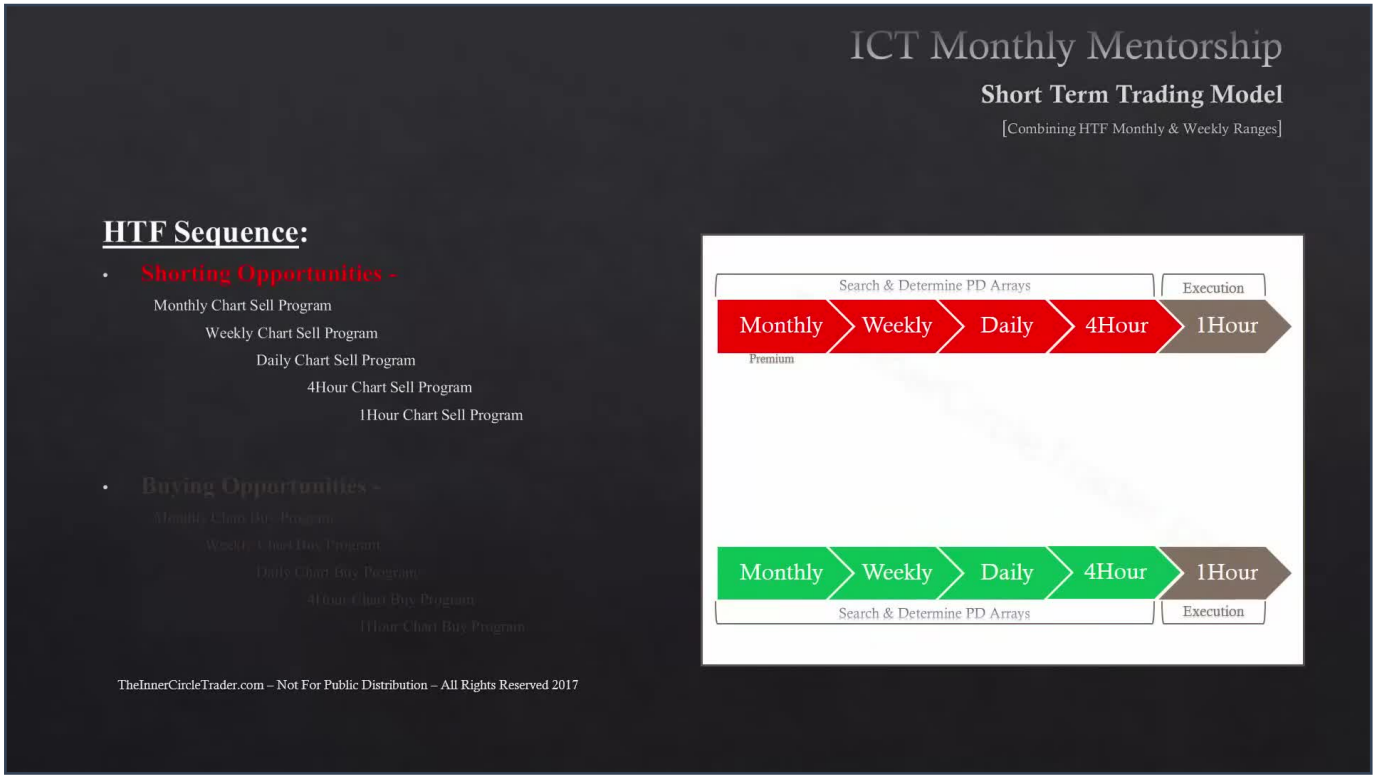
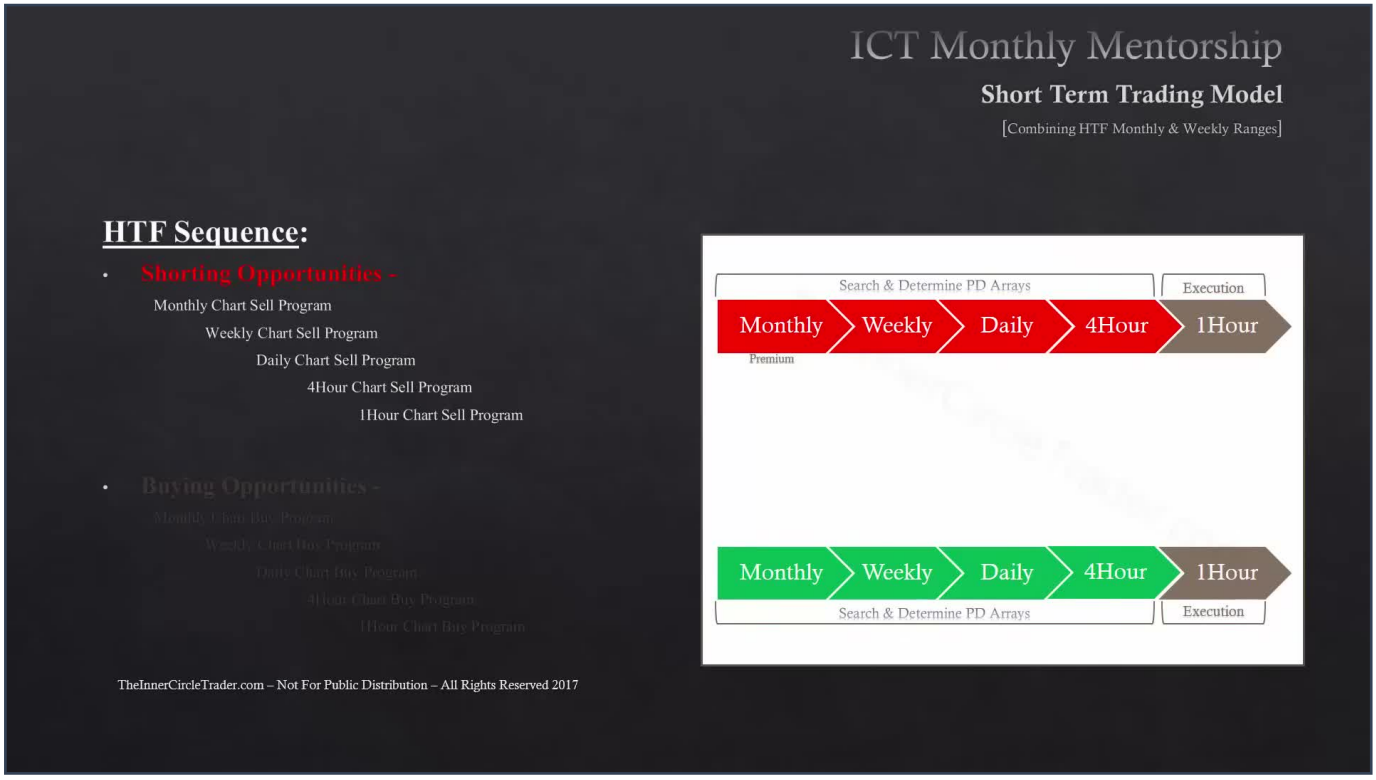
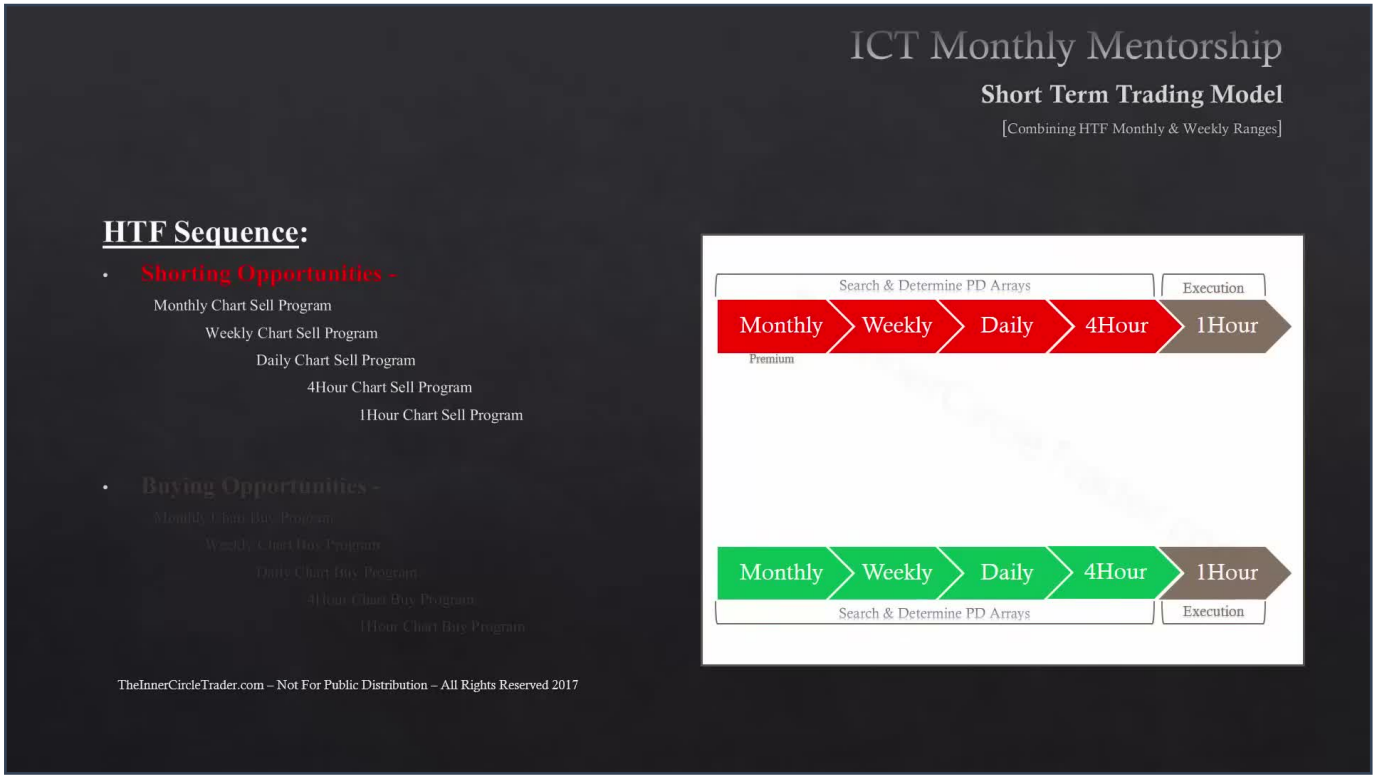


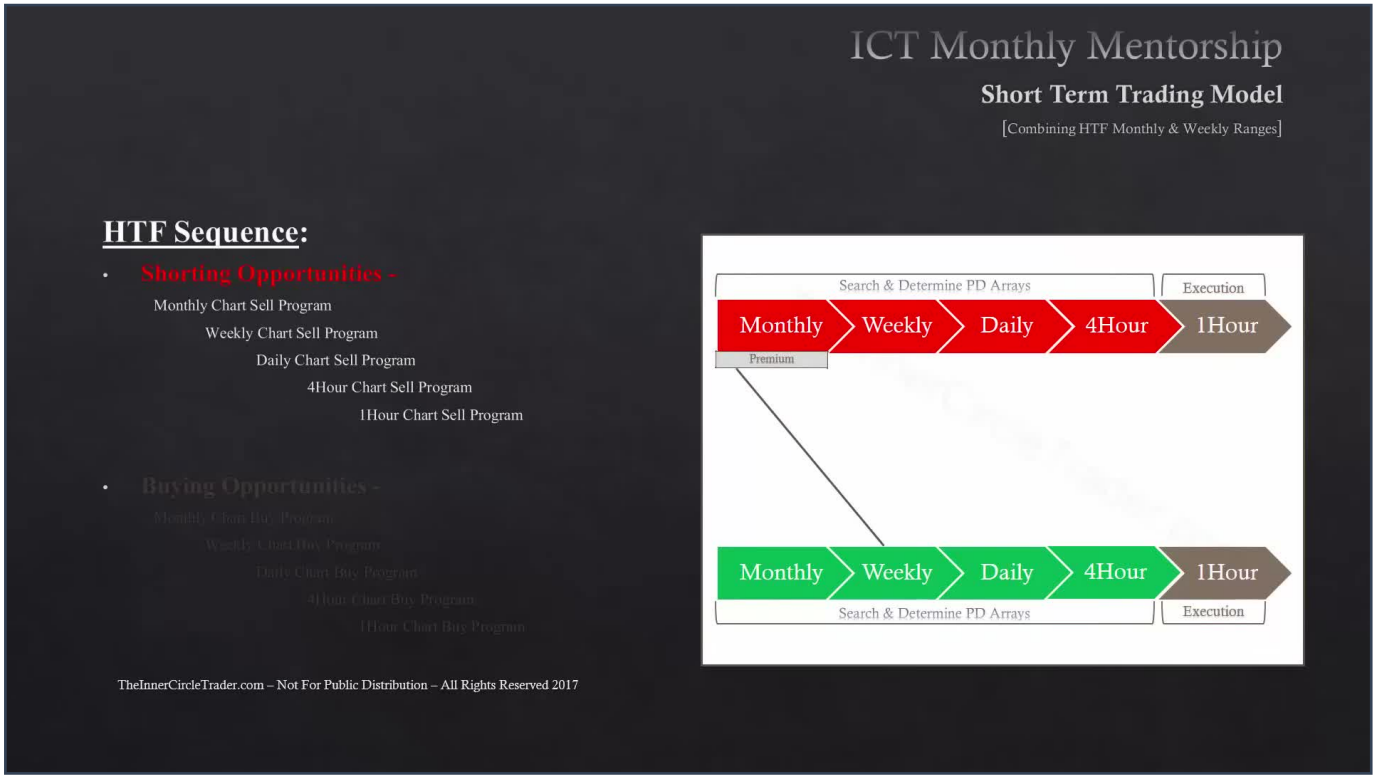
Okay, higher time frame sequence. We've seen this slide before, but now we're making one more addition and we're making some additional notes as well. When we're looking for shorting opportunities, we're moving from a monthly chart sell program. It means we're looking for the market to move away from a premium array, and we're moving down into the lower time frame, which will be the weekly chart, and we're looking for it to become a sell program as well. So we're looking for the market to move away from its premium arrays down into a lower time frame daily or watching for price to move away from its individual premium arrays down into a four hour chart looking for a sell program as well, moving away from its premium arrays down into a one hour chart where we're again looking for the market to move away from their premium arrays.



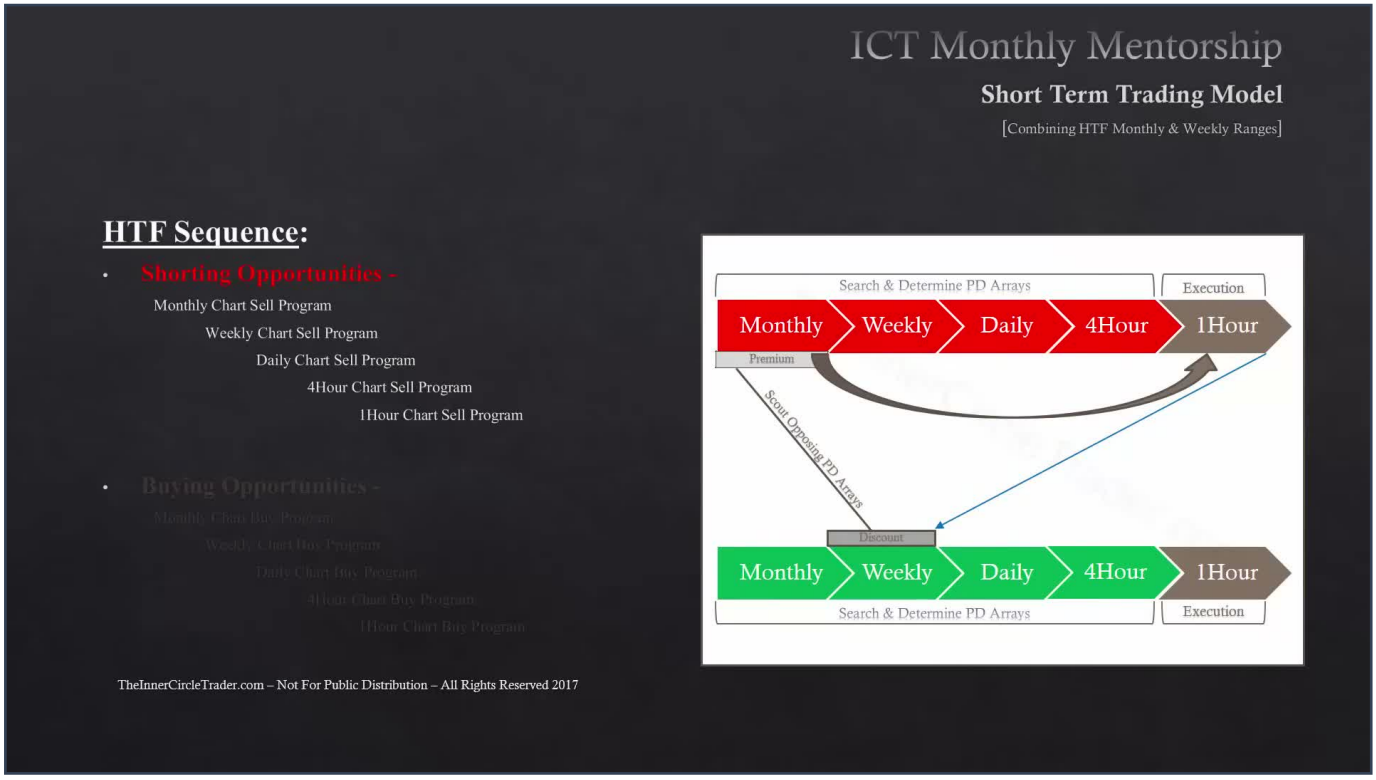
So if we look at the slide here to the right, we have the monthly, the weekly, the daily, the four hour, and the one hour. We're focusing on the monthly chart as we're looking for a premium array to trade off of. That's going to be our point of origin. From the monthly, weekly, daily, and four hour, these time frames, you're scanning, searching, and trying to determine all of the PD arrays, not just premium and not just discount. We're looking for all of them from each time frame because all of them will give us potentially new setups, short-term trading or one shot kill setups. And also, if we're looking for a move in this case, a selling opportunity, and we're framing it off of a monthly PD array from a premium level, that means we're in basically an overbought condition, and we're going to be watching and expecting the price to move lower to trade down into a weekly discount.



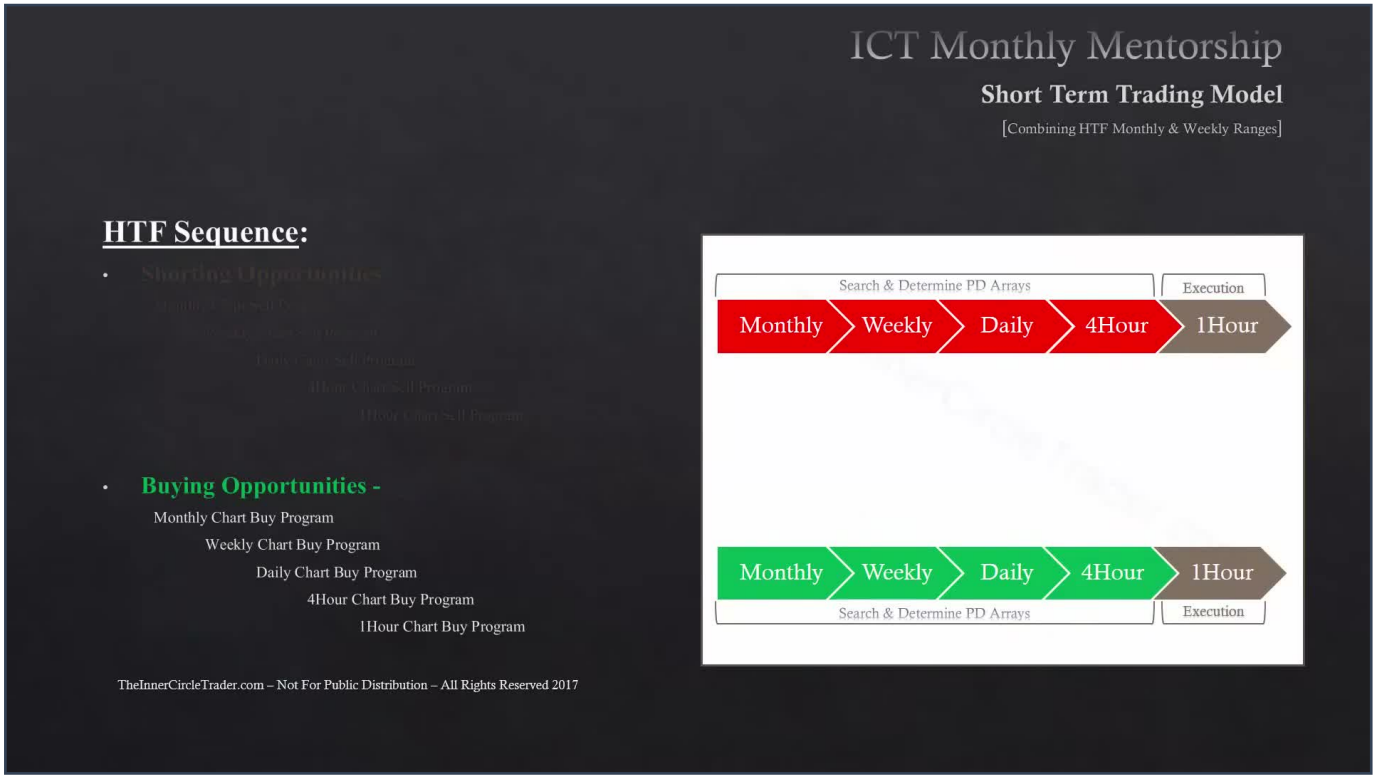
So if we're going to look at the monthly, the weekly, daily, and four hour on both premium and discount basis, as we've already talked about in previous disciplines and teachings in December and January, when we do this, if we're bearish, if we're looking for the monthly premium arrays to influence price to go lower, why is it important to look at the monthly, weekly, daily, and four hour discount arrays? Because we're looking for these arrays in the discount form to break. We want to see them break, and we want to see them continuously keep breaking until we get down to our weekly discount array.



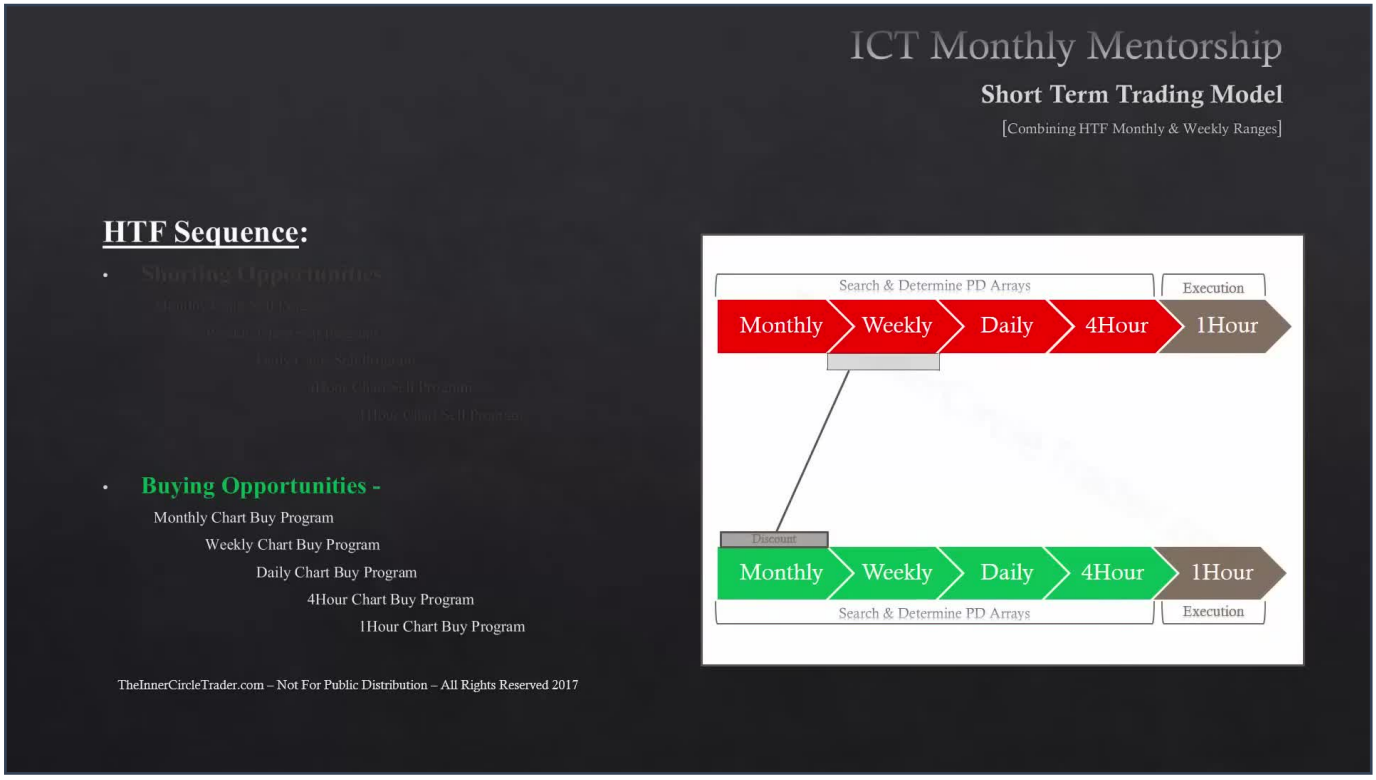
So for framing a monthly premium PD array, we're expecting lower prices from a monthly level, and we're trying to get down into a weekly discount. Now, it could be any one of the discount arrays, whichever one appears on the chart or the market that you're trading. Not every pair or market has every single discount array. There's only a few that can exist; very rarely have you ever seen more than three. So if you focus on what you're looking for in terms of monthly down into a daily, it gives you a very clear-cut thing to look for. There's not a plethora of things to choose from, or, 'Well, there's so many things that could be, Michael, you know, which level is it?' No, it's very obvious. We're framing the market contextually and conceptually, so it gives us a way to break down the marketplace and define where that market may most and obviously likely reach to. So we're scouting for opposing PD arrays from the monthly down into a weekly discount. So again, monthly premium level, and we're trying to look for an opposing weekly PD array in the form of a discount. From that monthly premium array, we drop down into a weekly, daily, and four hour at every premium array for each one of those time frames, and we're scanning for all of the premium arrays where we can take short-term trades from as a short. Every one of those at the weekly, daily, and four hour, if we find a level like that, we refine it all the way to the one hour chart. Our one hour chart is our executable time frame for one shot one kills or short-term trading. Once you have that executed, what we're doing is we're aiming for that weekly discount PD array. There's your cycle, that's your process, that's your whole outline, if you will, what we do with the information we learned from January and February, and what we're learning so far is we're taking all this conceptually and breaking it down into a user-friendly format.



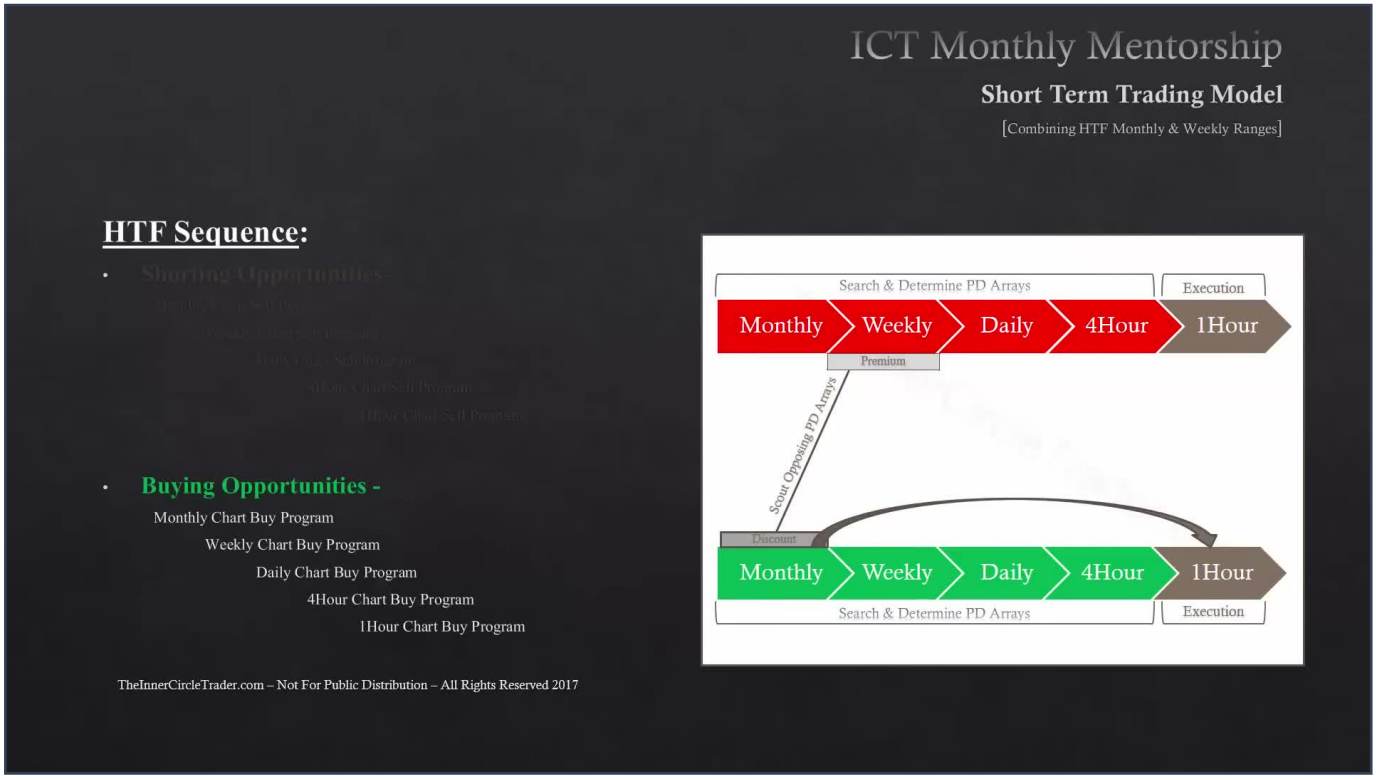
We want a monthly premium array and we start there. We're looking for an opposing weekly discount. Whatever that range is, it may be hundreds of pips or it could be a thousand pips, I don't know, it's going to be unique to each market and environment. But we may have missed the real opportunity to trade off of that monthly premium. Maybe you just sat down and said, 'Oh, look at this, it's coming off of a monthly bearish order block,' so it's already moved away from it. You can't really use that to trade off of; you just know that it's moving lower. So what do you do next? You drop down to a weekly. What's the weekly premium arrays? There may be one it trades up to later on, or a daily chart, it may trade up into a daily premium array, or a four hour. One of those four time frames is going to give you a setup based on the fact that the monthly premium is overbought, most likely are going to trade lower, and we're going to be looking for a lesser time frame discount array. What's less than a monthly? A weekly. We execute regardless if it's on a weekly, daily, or four hour premium level from a one hour chart. We get down to the discount on a weekly—that's our objective. Throughout the time from that execution, if it's a weekly or it's a monthly level, we could potentially see multiple short-term trades form. If it's from a four hour basis, you won't see that many charge setups form, but nonetheless, there's still going to be high probability.



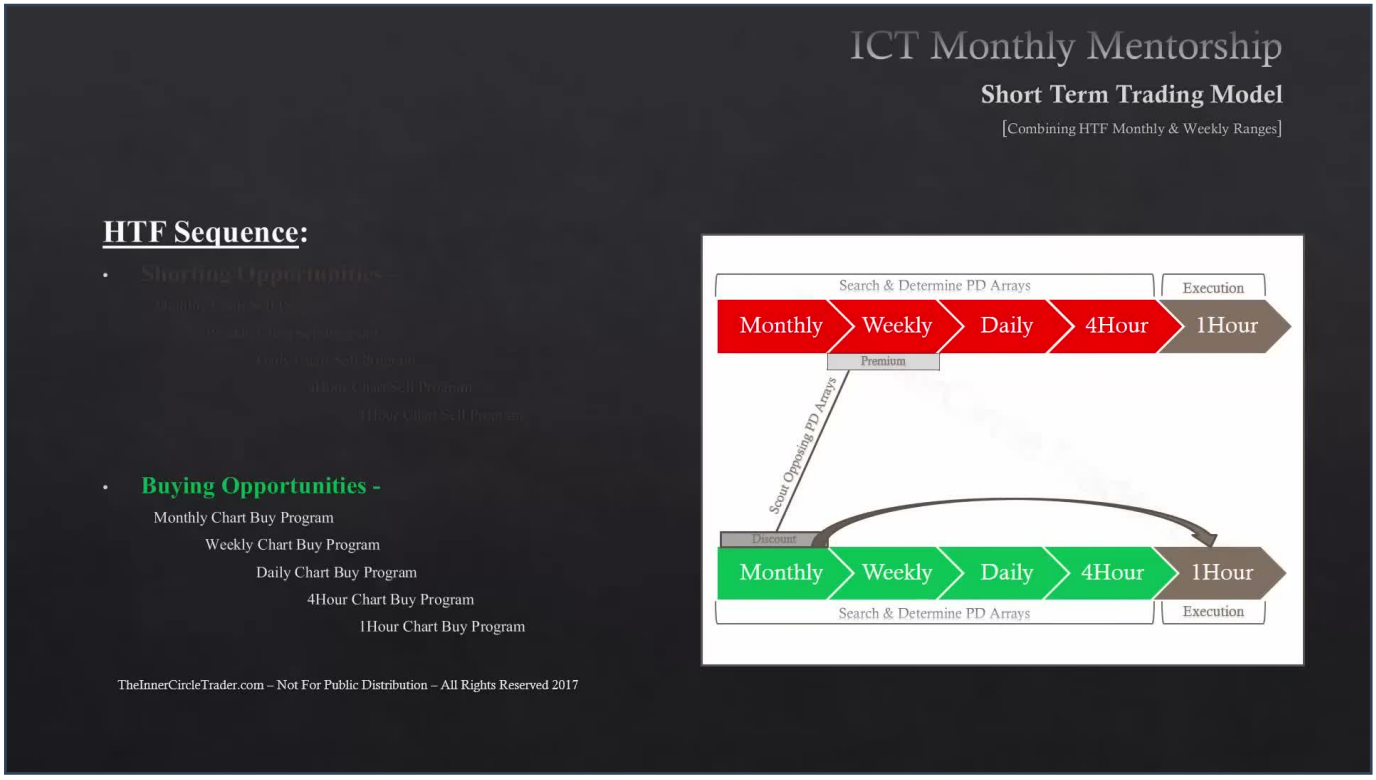
Okay, for buying opportunities, the same thing is repeated here, but in opposite. We're going to be looking for a monthly chart buy program, so we're going to be looking at a monthly discount array, and we're going to be looking for it to go into a buy program, in which we're expecting higher prices. Weekly chart, we drop down into it and we start looking for all the discount PD arrays as well. And we look for the daily chart to also move away from its discount arrays, and then dropping them to a lower four hour and then alternating down to a one hour chart looking at all of the discount PD arrays to offer support and price. But ultimately, we're framing it off of whatever the monthly chart discount array is—that's the beginning basis point. So we're starting from a monthly level. We're finding a discount if we're oversold or for any really deep discount market. In other words, it's traded for a long time lower, and we found some old institutional price models for bullish institutional order flow, for instance, a bullish order block, an old high or an old low, whatever has caused the market to trade higher in the past—all those are potential scenarios.



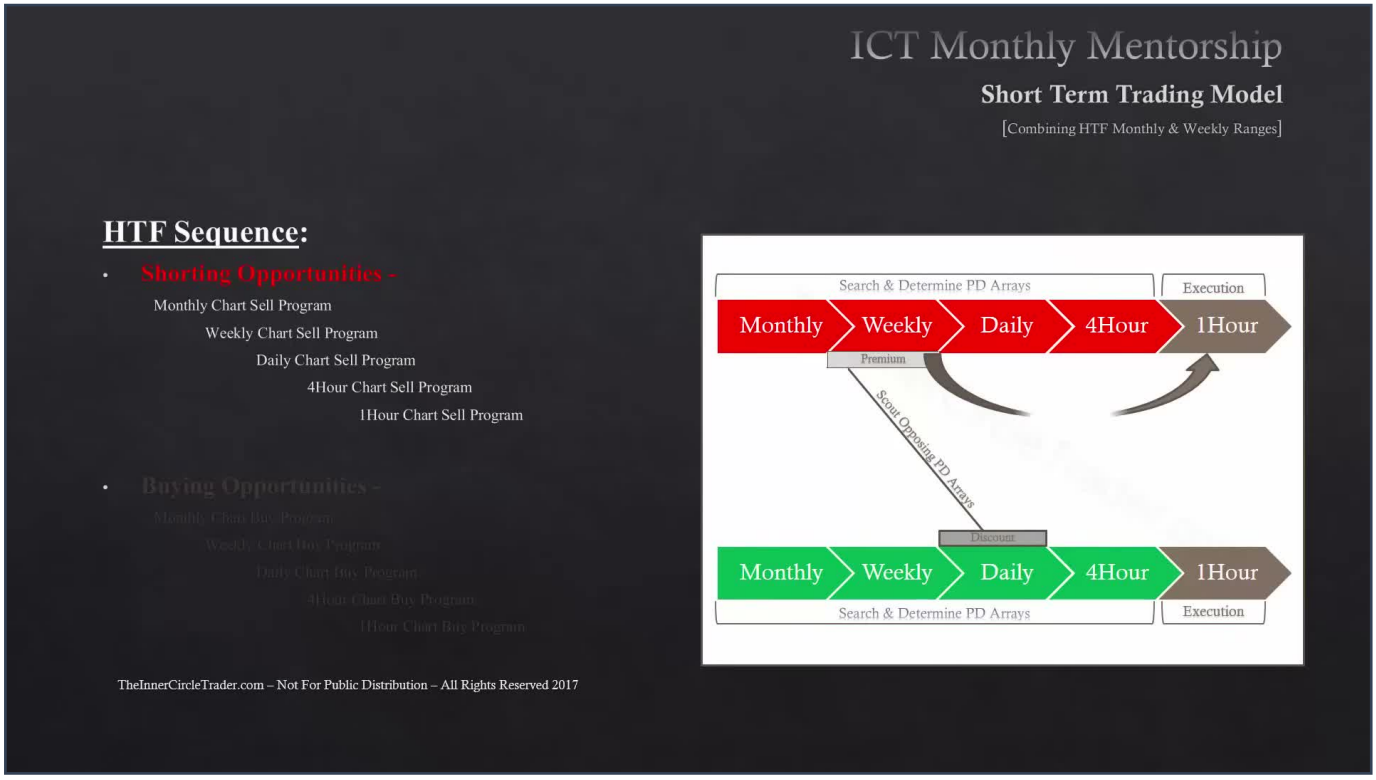
We're looking for a lower time frame opposing PD array. In this case, we're looking for a weekly premium array. We're scouting opposing PD arrays, but we're starting from that monthly basis for a discount. So the lesser time frame from a monthly is a weekly, and the opposing from a discount is premium. So we're looking for an oversold condition on a monthly to a higher time frame premium array that would be seen on a weekly chart. So that would give us a relatively intermediate term overbought scenario. It helps us frame the model without using any indicators.



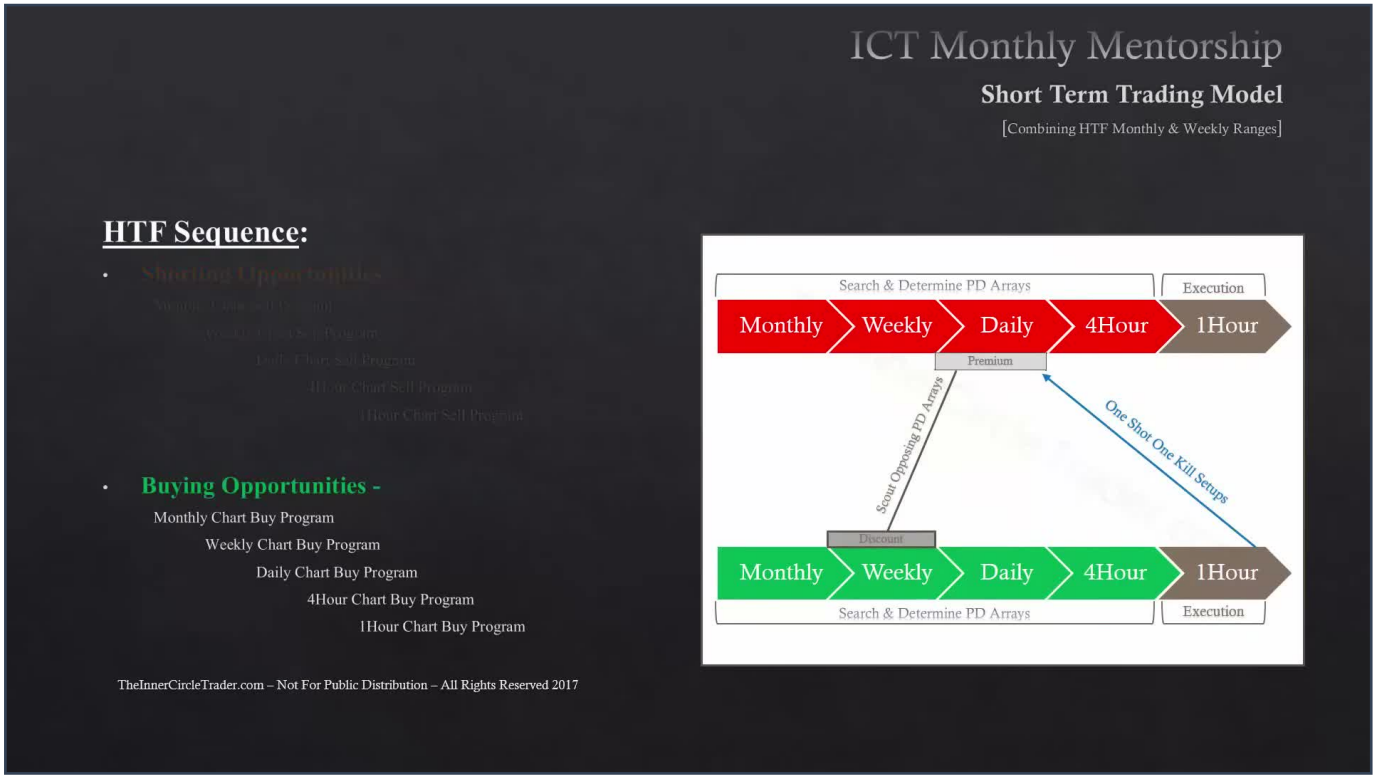
Once we arrive at discount monthly PD arrays, we go down through the monthly, the weekly, the daily, and the four hour to reference all of its individual unique discount arrays. Every single one of these, even if we missed the monthly discount array and price has already moved away from it, we can't use it, but we can refer to it as an indication that markets wanting to go higher. So therefore, we're identifying that weekly premium level as a target. So whatever that range is, that's what we're waiting for it to trade up to. Between them two points, there may be thousands or hundreds of pips in terms of the difference between the monthly discount level and the weekly premium. So we drop down to the weekly, the daily, and the four hour for all of the discount PD arrays, but which order blocks, bullish Breakers, bullish mitigation blocks, liquidity voids below current market action, fair value gaps below current market action, rejection blocks, old candle bodies with long wicks below it? Maybe we want to reach down below that, or it could be just a run on an old low or return back to an old high historically. Those are all discount arrays. We look for them from the monthly and then drop down to a weekly, find whatever they are there on that time frame, then the daily and the four hour. Any one of those time frames, we're searching and determining whatever the PD arrays are from the discount basis, but we're framing the directional move from the monthly.



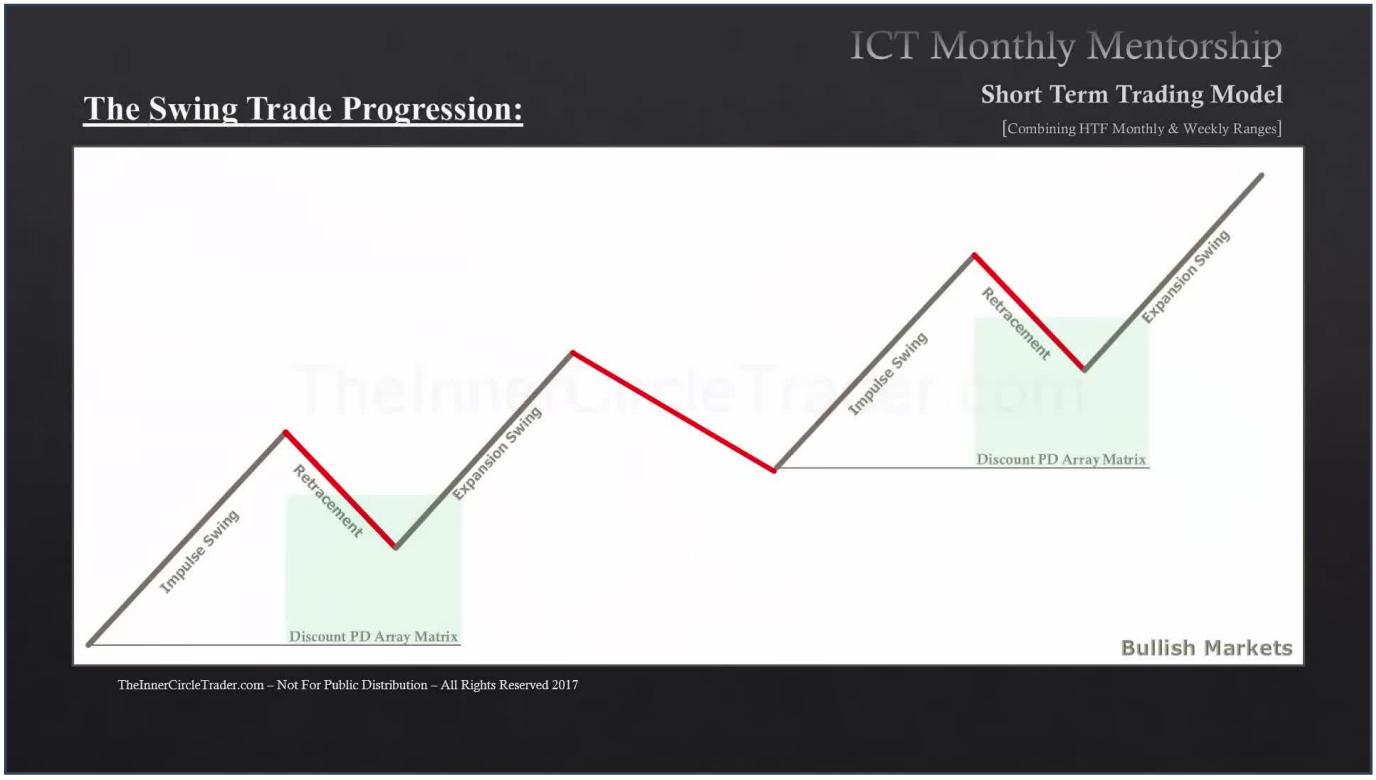
We time all of those potential setups with the one hour chart, aiming for that weekly premium array. And again, it could be multiple short-term trades forming between the monthly, the weekly, and daily, getting to that weekly premium array. Again, if we drop down to a four hour chart, once we get into the four hour, the trades start to fall off a lot in terms of the frequency or multitude.



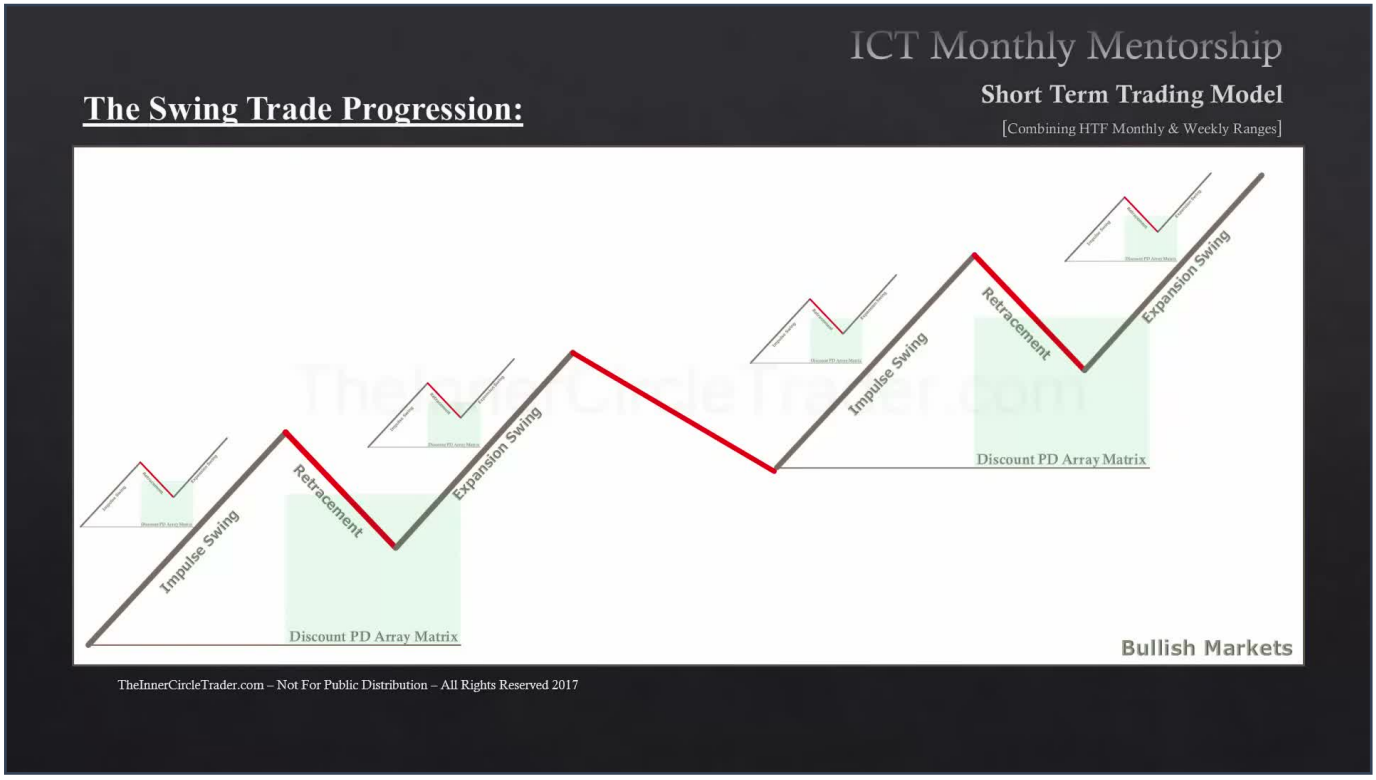
Okay, if we look at how we can use the same model dropping down from a weekly chart, we can start from a weekly premium looking into a lower time frame daily discount. And we're going to be scouting opposing PD arrays respectively. And from a weekly to daily to a four hour, we're looking for all the premium arrays that we could short from, and we key off of whatever they are. We wait for price to trade to them and then we use the one hour chart to sell short from—that's our executable time frame, aiming for that lower level time frame daily discount. This, my friends, is the one shot one kill setup. This is my bread and butter. This is the one that has consistent setups every single week. There's something to trade off of, but you have to go through the process of waiting for it to give it to you.



The opposite is same here when we're looking for a weekly discount, scouting an opposing PD array for daily premium level. We drop down from the weekly, the daily, and the four hour looking for all the discount PD arrays, executing on any one of them from a one hour chart. And again, this is the one shot one kill setup for longs.



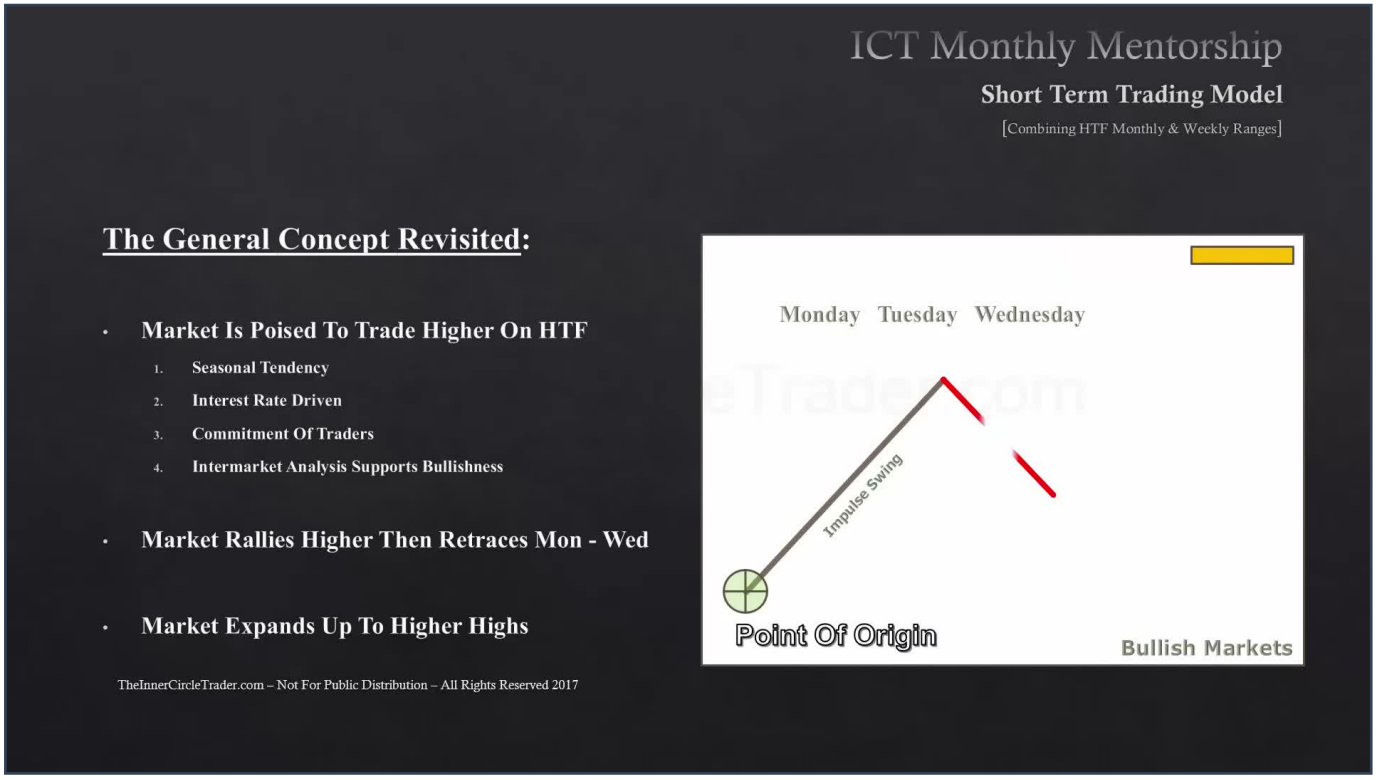
Okay, we talked about the swing trade progression, and it's important to bring this back up again because without this understanding, it's going to be a little too vague. But I gave you a model at which we thought that maybe this is a six month outlook on price. Okay, maybe it's a little aggressive to say six months, but just for the sake of argument and discussion, let's just say this whole entire range of higher highs and higher lows is six months and we had the benefit of forecasting the potential move to see this unfold. Each one of these price legs has an impulse leg and it has a retracement, then it's an expansion swing. Inside of each individual impulse swing, there could be smaller impulse and expansion swings. Each expansion swing, again, just like we saw in the impulse swing, could be broken down to a smaller time frame seeing its own individual unique impulse swing and expansion swing. And this is repeated throughout the entire fractal that is seen in price.



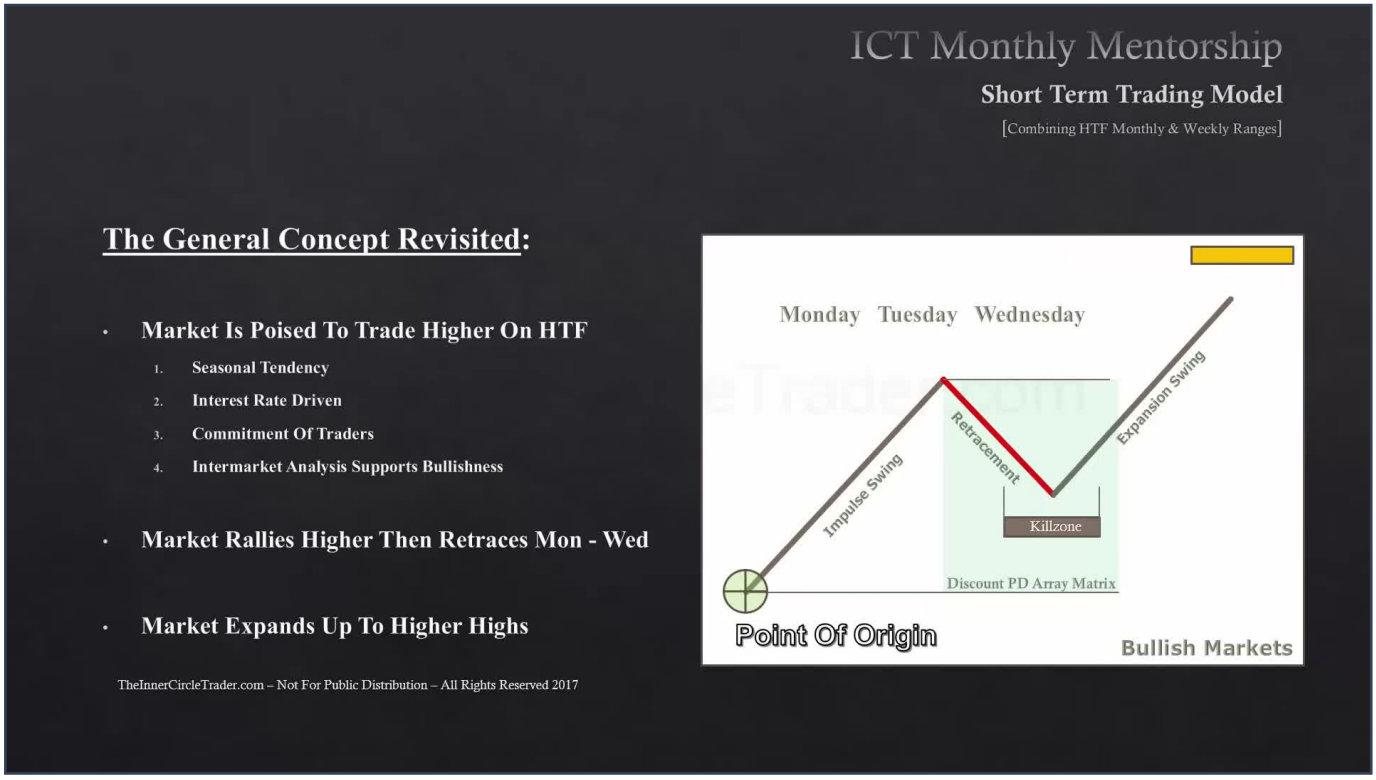
As a short-term trader, with this alone, there is a plethora of many, many setups and signals that you can find just trading with one market, one pair. If this is a whole landscape, if you will, of six months of price data, this could be every low that it trades from and trades higher. Every single time it makes a low and moves up graphically, that is a potential short-term trade. So just from this chart alone, if you take a moment and count every time it creates a move up, use that lowest point at which you could frame a short-term trade, count them, I'll give you a moment to do so. There's potentially just on longs, there's eight short-term setups here just by breaking the fractal down one scale, but we can go further than that and break down the smaller swings into their individual impulse swing, retracement and expansion swing. And its smaller expansion swing can be further broken down. Each individual fractal can be broken down to a lesser fractal. Now, if we count how many opportunities you could be a buyer when you're bullish and you can frame the marketplace correctly, how many opportunities do you see here in terms of potential buys? There's potentially 16 buying opportunities in this overall fractal. That's not counting any short-term trades that you could have done on all the retracements. Every little red section in here, they could also be short-term trades as well. If we couple those with the buying opportunities, there is a great deal more trades that are available as a short-term trader.

Okay, the general concept Revisited: we're looking for a market that is poised to trade higher on a higher time frame. Now we're going to be looking for seasonal tendencies to help us. We don't require it, but they're always going to be a bonus. We're looking for interest rate driven conditions. In other words, is the bond market moving? Is it stagnant? Is it going sideways? Preferably, we're looking for a market that's moving around. Does Commitment of Traders support the hedging program about the commercials? Are they buying? Are they selling? In this case, if we're looking for a bull scenario, we're looking for commercials to be lessening their short positions or aggressively adding or already net long. And we're using inter-market analysis to support bullishness. That could be in the form of supporting with SMT Divergence or correlated pair SMT.

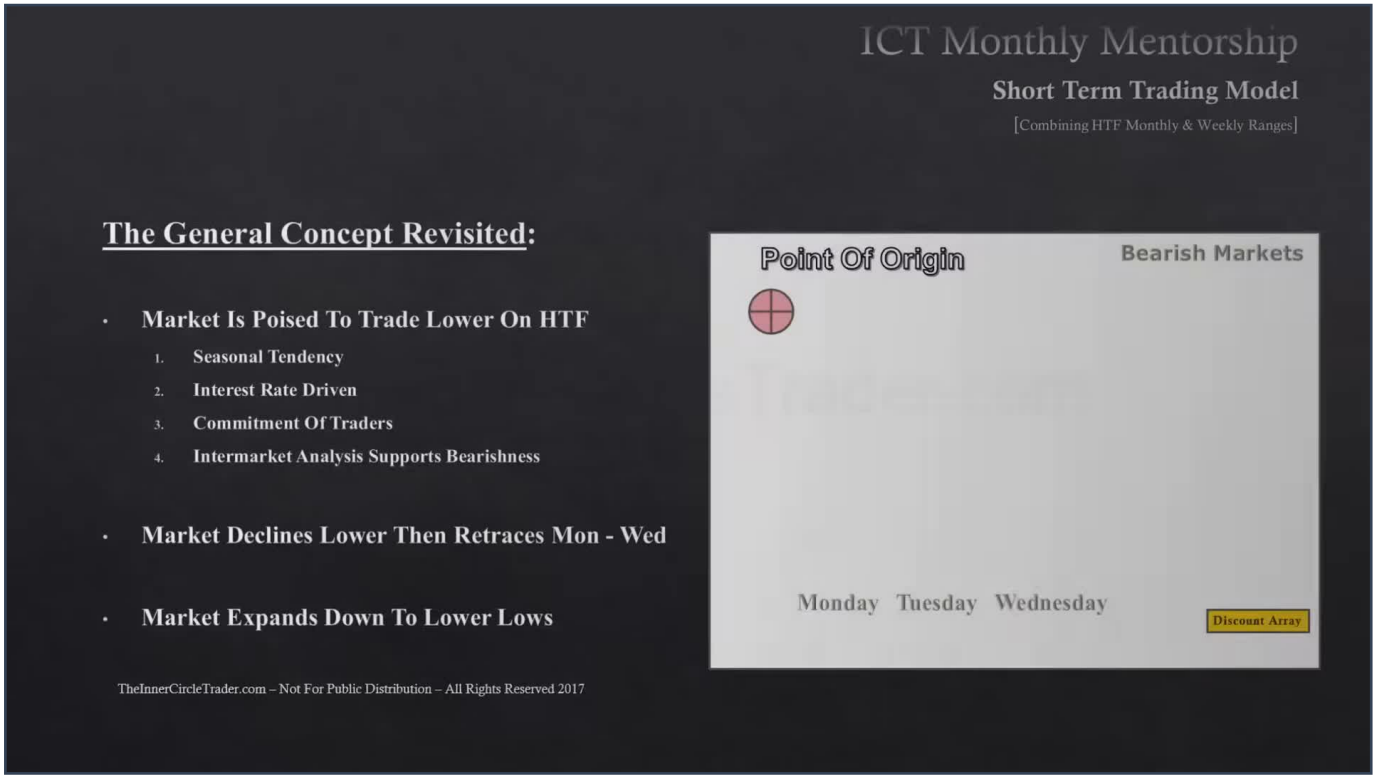
We're looking for a market that rallies higher then retraces, and this is going to occur Monday through Wednesday. So now we're getting more time specific, and then we look for the market to expand up into higher highs. So before we do anything, we're going to already have our point of origin. In other words, that's going to be the reference point from the monthly standpoint, and or dropping down to the weekly, daily, and four hour, and we're going to know what PD array in the premium we're aiming for. So we see that impulse swing. Monday, Tuesday, or Wednesday, we were looking for an up move to suggest it is, in fact, buying. So that impulse swing is the telltale sign that there are smart money players in the marketplace pushing price higher. That's what we're looking for. Underlying, we're expecting higher prices anyway, but now we're seeing it.



We're waiting for the retracement. That retracement is going to come again between Monday, Tuesday, and Wednesday. It could happen directly right off of Sunday's rally, and then Monday may be the retracement, or it could just start right from Monday and have a very shallow retracement of one day. Between Monday and and Wednesday, during that retracement, we're going to be looking for or anticipating the next move higher, driving its move higher into that premium array that we're looking for. That expansion swing is where we're looking to be profitable. Framing the retracement from the point of origin, that's where we're looking for our executable time frame: hourly, four hour, daily, weekly, monthly discount PD array. We're looking for all those potential levels as price starts to drop down. Now, it looks like graphically it's only on Wednesday, but for the sake of discussion and keeping the slide clean, this retracement and the discount PD array Matrix is applied through the entire range across the days of Monday, Tuesday, and Wednesday. So in other words, what I'm saying is from Monday, Tuesday, and Wednesday, during any retracement lower, we're looking for a monthly, weekly, daily, four hour discount array to trade off of, aiming for the weekly premium array.



And it has to drop down into a Kill Zone. Now, what Kill Zones could you be trading? Obviously, you all know that I like to trade the London open and I like to trade the New York open. If you're trading the Aussie, Kiwi, or Japanese Yen, you want to be including the Asian session Kill Zone. Okay, so you can go into my free tutorial stuff and see what that actually is, but for a quick down and dirty time frame, what you're looking for is 23:00 hours to—well, basically, you're going to be looking at 6 p.m. to 9 p.m. New York Standard Time. Whatever time is in New York, 6 p.m. to 9 p.m. There's your sweet spot for Asia. Okay, there you go, nothing nothing easier than that now. And many times it can extend to 10 o'clock, but usually you don't want to be doing anything after 10. The closer you get to 10, that's kind of like their lunch time, so you don't want to do anything around 10. And ultimately, if price drops down, gives you retracement into a discount PD array from a monthly, weekly, daily, or four hour level, you can see that also can be used from an hourly executable time frame. So if you get an hourly discount PD array, they could be executed on as well inside of a Kill Zone. Again, you're looking for that Monday, Tuesday, and Wednesday setup, but you're aiming for the weekly PD array. If you don't watch online kill, you're looking for that daily PDA right but framing off of a weekly discount.



Okay, the general concept Revisited again. In bearish markets, we're looking for a market that's poised to trade lower on a higher time frame. We're looking for any market that would potentially move lower seasonally, but it doesn't have to; we don't need to seasonal fancy there again. It's just always a bonus or a plus, if you will, if we can use a market that has a bearish seasonal tendency. Our interest rates moving? Are they stagnant? Preferably, we're looking for a market that has the bond market moving all around. The tenure notes are moving around, that's held in consolidation. And Commitment to Traders, are we looking at a lessening of long positions by the commercials, or are we seeing a heavily net short position being built, or are they already net short? Those are the conditions we're looking for from a COT standpoint. And inter-market analysis supports the bearishness. That means SMT Divergence is indicating weakness or correlated pair SMT suggests that there should be an overall sympathy move lower for foreign currencies, or for trading stocks you'll learn all that as well with the indices versus the leadership issues.

And we're looking for a market decline lower then retrace higher during Monday into Wednesday, and then we're going to be looking for a market to expand down to lower lows. So we have our point of origin from a higher time frame monthly premium array. It trades lower impulse swing, and then there's a retracement. Again, this is all occurring between Monday and Tuesday and Wednesday. Any one of those three days this scenario or condition has to be here. That retracement has to come up to a level of premium, and then the expansion swing is what we're looking for to be profitable in, aiming for the discount array.

FRAMING THE RETRACEMENT AND PREMIUM PD ARRAYS (BEARISH)

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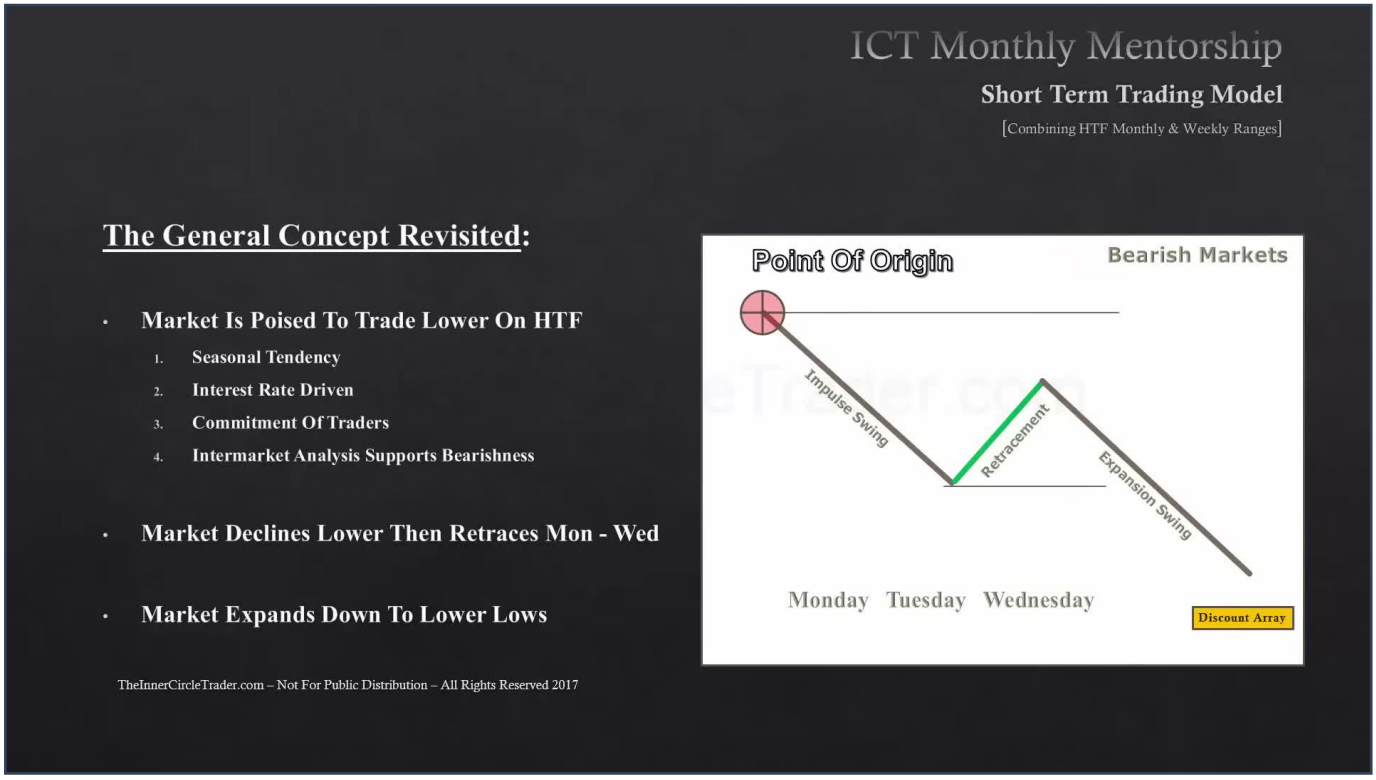
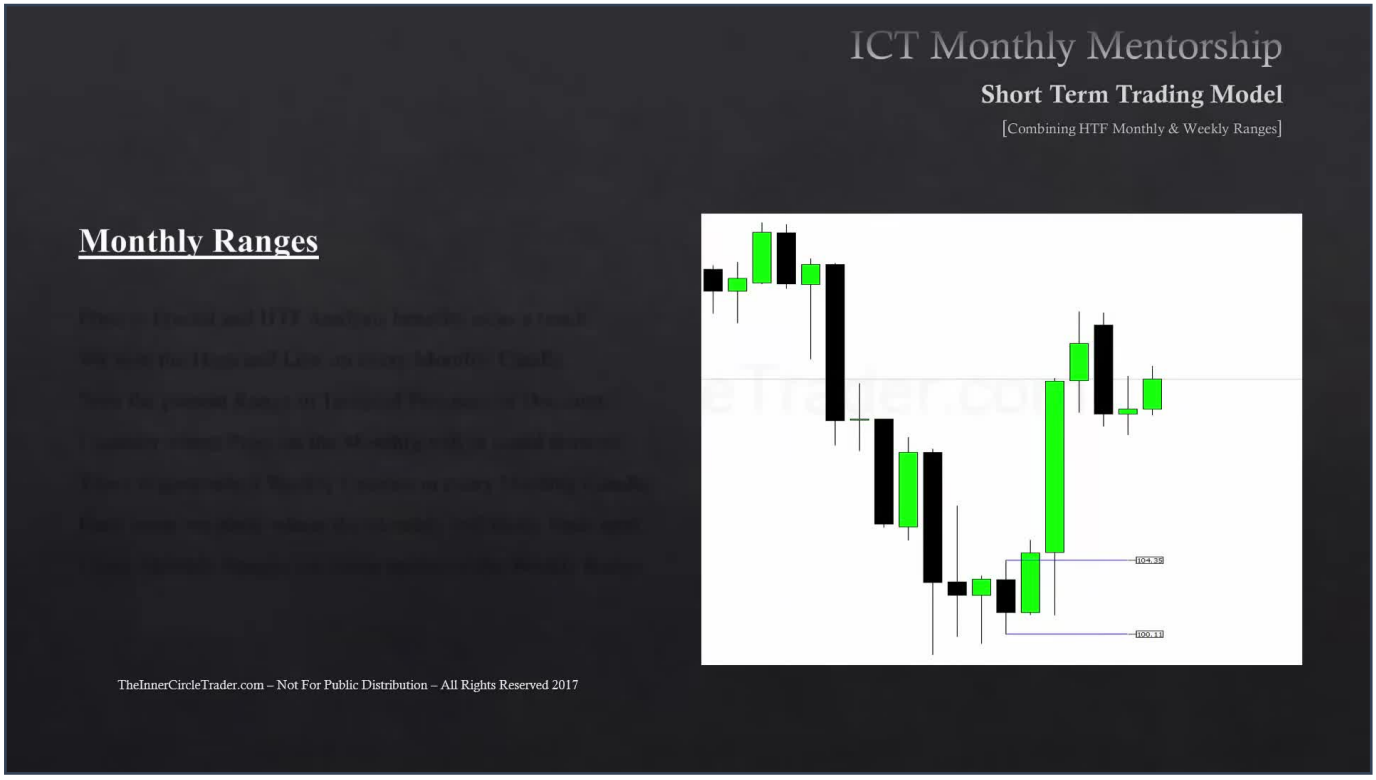


We're framing our trade with premium array Matrix. So we're looking for a monthly, weekly, daily, four hour and one hour premium array to short from in a Kill Zone for time the analysis.



Okay, monthly ranges. Our price is fractal, and higher time frame analysis benefits us as a result. We note the high and the low of every month candle. We note the present range in terms of premium and or discount. We consider where price on the monthly will or could draw to. In other words, what's the most likely direction? There is generally four weekly candles in every monthly candle. Every week we study where the monthly will likely trade next. Again, all we're doing is looking for probabilities. There's nothing that I teach with 100 percent iron clad, 'this is the way it's going to happen every single time.' There's no absolutions; there's only probability. So we're looking from these higher time frames to look for where is it most likely reaching for it, because if we're trading off of a monthly chart and we can pick the most probable direction, chances are even if we're wrong, you know, the lower time frames that we're going to be executing on still might give us opportunity to be paid. And in usually monthly ranges, we frame trades on the weekly range.

All right, so what's a weekly range? Again, price is fractal, and monthly analysis builds on the weekly. We note the high and the low of every weekly candle. We note the present range in terms of premium and or discount. We consider where price on the weekly will or could draw to. Again, what's the most probable direction in terms of where the weekly chart is trading and where it may range up or below or two? There's generally five daily candles in every weekly candle. And every week we study how the weekly trades inside of its monthly range, using weekly ranges we frame trades on the daily chart. We're watching to see if the weeklies continuously expand and make the larger monthly candle move in the direction we thought they were going to go. So each week we're looking for confluence and confirmation that will be anticipated seeing on the monthly is in fact unfolding, because the weeklies will be pushing that direction hopefully in our favor and then making that weekly range expand every higher or every lower weekly candle. We'll build that bigger monthly candle in respective direction.

EXAMPLE - JAPANESE YEN MONTHLY CHART ANALYSIS

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Okay, so let's take a look at an example. All right, so here we're looking at the Japanese Yen, this is a monthly chart. You can see from 2015 springtime going into June 2015, we saw the Japanese Yen, or Dollar Yen pair, trade up into around the 125.80 level or thereabouts. And we moved from a low formed back in 2013, and then we dropped from the 125s into around June of 2016. If you look at the total range, we have obviously moved into a discount market. And we look at the market's old support levels found at the February 2014 to June 2014—there was a lot of support seen in there. So price came all the way down into the point of origin where we think the market will—and with the benefit of hindsight here, I'm not going to be slicing and dicing charts because we called the Japanese Yen lower, which is Dollar Yen higher, all through the months in 2016 as we see here. But looking at this example, we have a point of origin where we think price may want to go higher, and once we see that, we start looking at all of the monthly discount PD arrays. I'm framing the last down candle right before the big move starts to take place. That is a monthly candle, and we start looking at the monthly range. But that's not the monthly range we're trading in. That's just a monthly range, so don't be confused when I start talking about monthly ranges. I may interchangeably refer to a monthly candle where it's individual or independent range—that's not the monthly range that we're going to be referring to. I'm actually going to distinguish the two. Okay, so we have that one month's candle range defined.

We're going to go back to on the monthly level, where are our monthly premium arrays? Well, you have a breaker here. So we frame that, so there's a move that we can look up to for a monthly level. So we have both our monthly discount and premium arrays. This is our monthly range. This is our range for trading the monthly range. In other words, what's our probable range of probability or profitability? Where would we expect to see moves take place?

We take that range and we apply it to a weekly chart and refine that down into this individual weekly PD arrays in terms of a premium array. So we have here weekly premium arrays outlined. I didn't put every single one of them on here just to keep the chart clean, so that way we can go through and have many examples for your study. Go through and find out where all the other ones are. Okay, go through the individual weekly chart and monthly chart, and you can see how price had respected a lot of the other ones too that aren't being used here. If I just gave you the obvious ones, I use rejection blocks here for weekly and premium arrays. So when price broke away from that 104.35 level and started expanding, reaching up into that 118.60 level, that weekly premium array, it had three lesser lower weekly premium arrays: old lows seen through 2014 going into 2015, and then we saw rejection block around the 111 level. Then we saw another rejection block around the 106 Big figure as noted here. So they're all objectives of where price should reach up to. So if you look at that, it's still a great deal of opportunity between just those four premium arrays on a weekly chart.

FOUR-HOUR CHART WITH DAY OF WEEK FILTER AND ORDER BLOCKS

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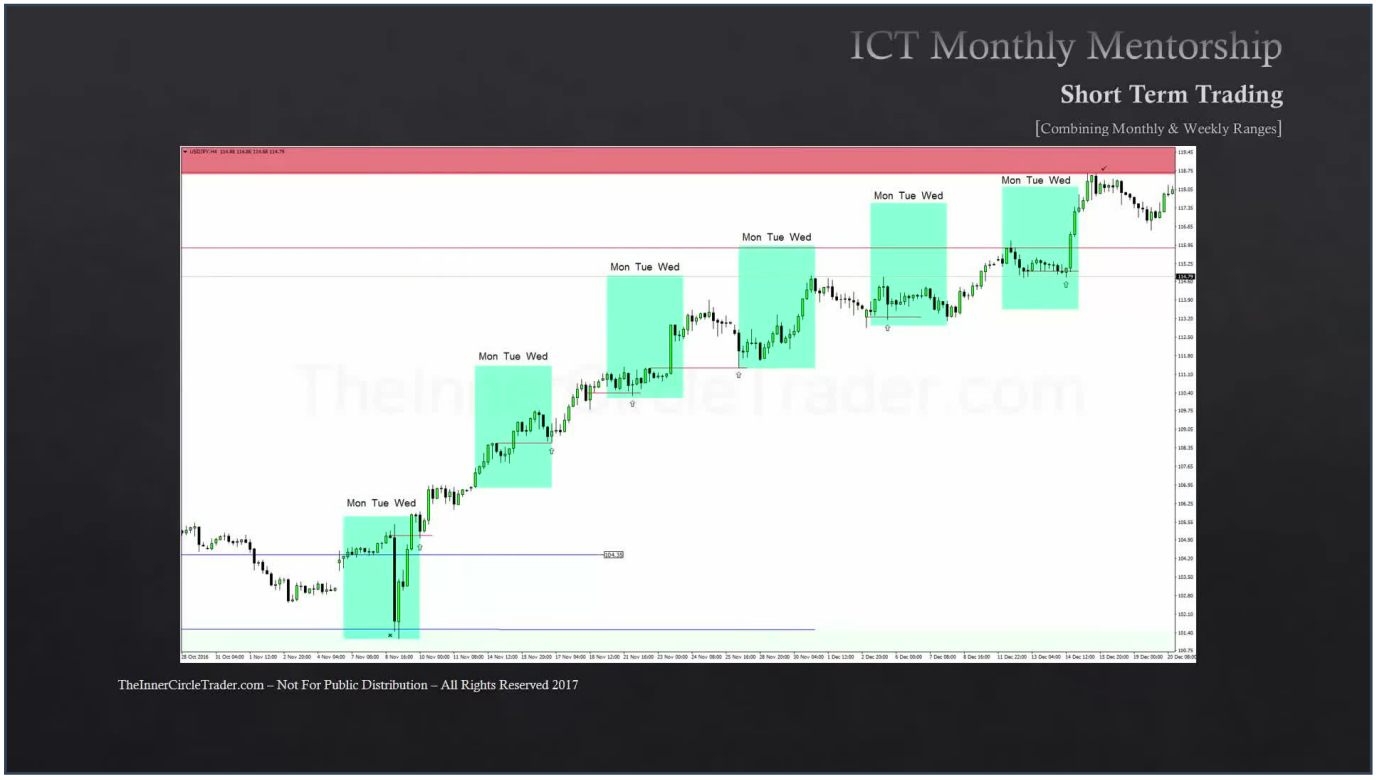
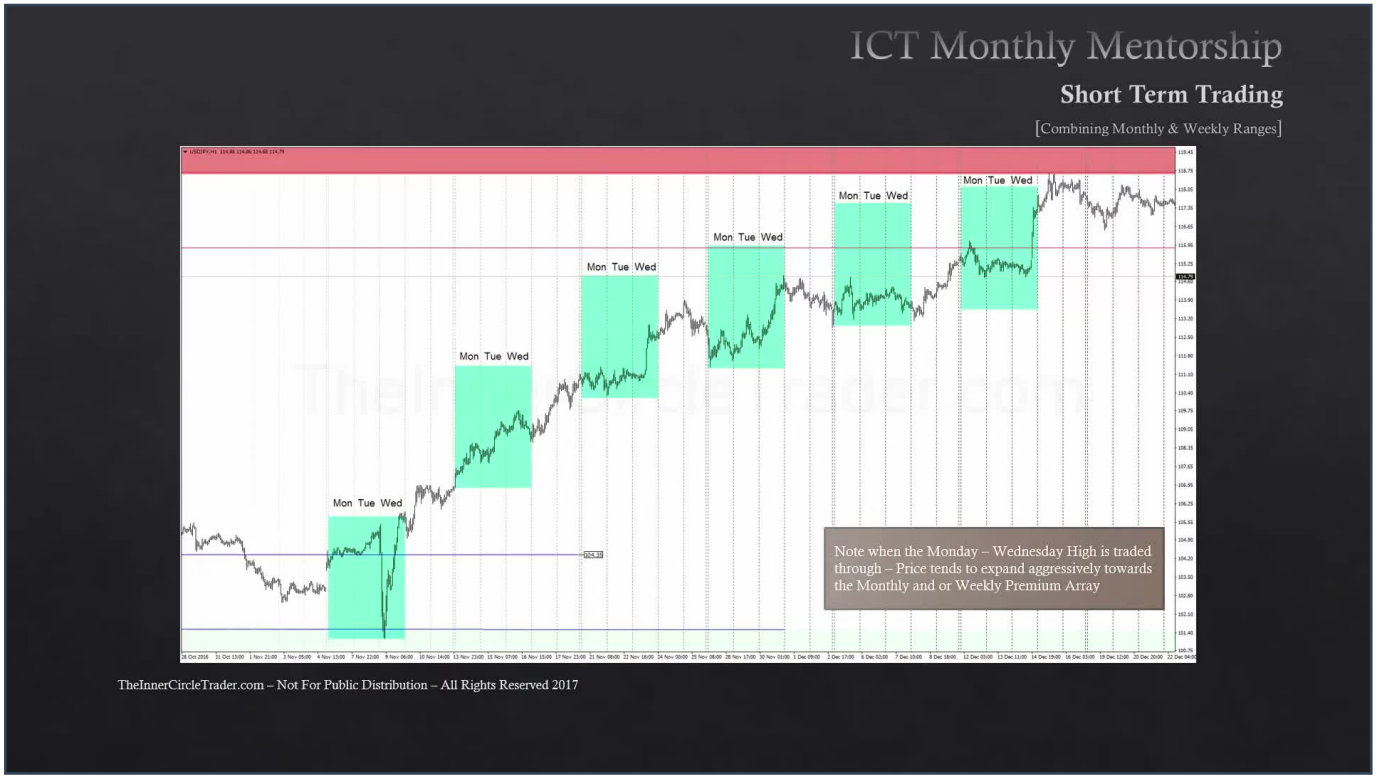
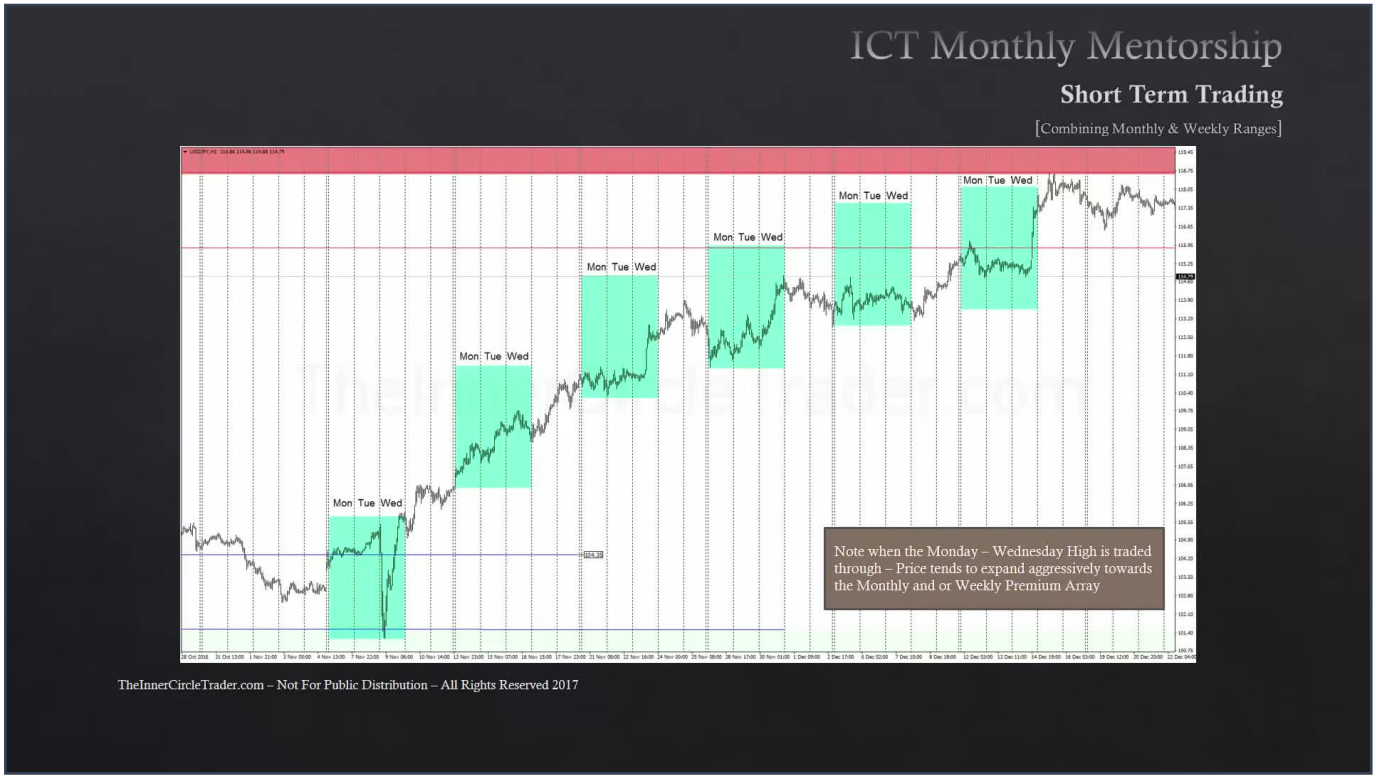


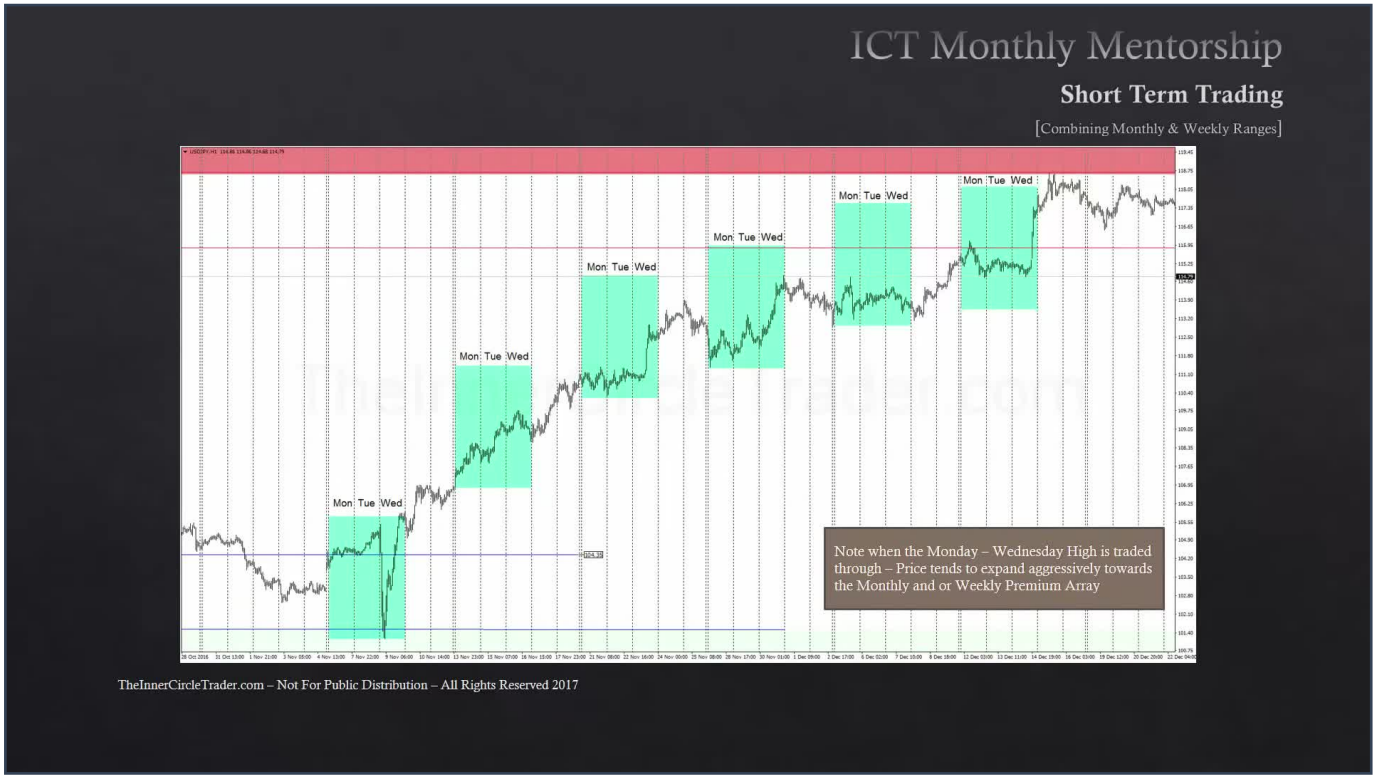
Now we got into a four hour chart, we can start applying all of the order block theory and rejection block theory. And we're also incorporating now the day of week filter, which is Monday, Tuesday, Wednesday. So I've shaded where every Monday, Tuesday, and Wednesday's range is, and I'm also highlighting order blocks for bullish buy, and I'm also highlighting mitigation and also highlighting rejection blocks. All of these are discount arrays. And the red shaded area up is a 118.70 level or thereabouts. That's the premium array on a weekly basis that we're reaching for. So how many buying opportunities did you see here? Six. One each week. Let's break it down a little bit more detail. Again, taking all the unnecessary things off the chart, and you can see how price has moved rather uniformly and systematically each new week, giving you buying opportunities.



And I will add all the individual day dividers, and I want you to take a look at something. As the weekly ranges defined by the double line vertical dashed lines, okay, that delineates the Sundays. So everything to the right of those double vertical lines that are dashed that represents a Sunday's trading. To the right of it, you have Monday, Tuesday, and Wednesday shaded. Notice how the lows of the week are generally formed in Monday, Tuesday, and Wednesday in this context.



Also notice that when you see the high that's formed between Monday and Wednesday, say for instance, that there's a high that forms during the Monday through Wednesday range, when that high is taken out intra week, this is significant because price will tend to expand aggressively towards the monthly and or weekly premium array, and it's reversed if it's bearish. So what we're doing is we're looking for the Monday through Wednesday range every single week. When that is bullish underlying in the market, and if you break that range that's defined by technically Sunday's opening, but just for the sake of keeping things germane and consistent, because I did mention how we didn't really refer to Sundays anymore. You can use Sunday for completeness sake, but from a Monday's opening to Tuesday and Wednesday's range, whatever the highest high is, when the markets are bullish, if that high is broken intra week, say for instance on Thursday or uh you know, Friday, generally that is indicative of an aggressive confirmation that we're going to be moving to our premium array that we were looking for or identified ahead of time. And everything you see here would just be reversed for bearish markets. Monday through Wednesday's range, if that is broken, when it's bullish, the high that's formed between Monday and Wednesday that is a confirmation that you are in a buy program and the markets will expand aggressively to reach for your higher level premium array. When the markets are bearish, the low that's formed between Monday through Wednesday, if that is broken on an intra-week basis, that is confirmation that you are in an aggressive sell-off or sell program, and your long-term higher time frame discount array that you're aiming for, it's a high probability condition that's going to reach for that. It may not happen that week, but you're going to keep looking for the next week to be bullish or bearish respectively based on that information.



So hopefully you found this teaching insightful. We're going to be building on a lot of these ideas in a lot more detail leading into the ultimate delivery of one shot one kill in a process oriented rule-based breakdown, what you do from the beginning to end to execution. And until next session, I wish good luck, good trading.